

Monday, September 21, 2026

mint

Think Ahead. Think Growth.

mint primer

Why Apple faces CCPA probe over user-rights issue

BY SAMIKSHA GOEL

A software update should improve a phone's performance. But what if it causes hardware failure and leaves consumers with the repair bill? That is at the heart of the Central Consumer Protection Authority's (CCPA's) probe into Apple's software warranty terms. *Mint* explains:



1 What is the CCPA investigating?
Apple began rolling out iOS 18 in 2024, after which some users reported green, pink or white lines on displays, microphone and call failures, frozen screens, battery drain, and touchscreen and camera malfunctions. Some said they were asked to pay for repairs. Replacing an iPhone 15 screen costs about ₹27,900. The CCPA is examining whether users should bear these costs when the alleged trigger was Apple's software, and whether the company's warranty terms and repair practices amount to an unfair trade practice. It first issued Apple a notice in 2025 and has since escalated the matter to its investigation wing.

2 What is Apple's stance?
Apple is contesting the regulator's allegations, saying the case was based on 70 complaints and denying that iOS 18 has a systemic problem in India. In its 20 August response, it said the software had undergone stringent testing. It also noted that only about 11% of iPhones were still running iOS 18 as of June 2026. Apple has defended its software warranty terms, noting that its licence agreements state that the software is provided without any warranty. The company said it would work with the regulator to provide clarity on how it had responded to customers who reported problems with their iPhones.



3 What's the hidden warranty problem?
Apple's standard warranty covers defects in materials and workmanship in the device's hardware but generally does not cover damage caused by iOS, including updates. This creates a grey area when a patch is alleged to have triggered a hardware issue. Users end up paying for repairs if Apple determines that the fault falls outside warranty coverage.

4 Can consumer law override such claims?
Yes, a warranty is a contractual arrangement between a firm and a consumer, but its terms do not automatically insulate the firm from obligations under India's consumer protection laws. The Consumer Protection Act, 2019, empowers authorities to examine practices that may amount to unfair trade practices or mislead consumers and direct corrective action. A warranty may specify what kinds of defects or repairs Apple will cover, but the CCPA can examine whether consumers were unfairly made to bear repair costs.

5 Are there implications for other companies?
Apple is not alone in drawing a line between hardware warranties and software. Google's India warranty explicitly covers hardware and excludes software elements, while OnePlus says its limited warranty does not cover, or only partially covers, software and excludes certain software-related problems. Samsung's terms also say it does not take responsibility for the quality of software. Xiaomi, Vivo and Realme similarly frame their warranties with various exclusions. The CCPA's conclusion could have implications for all phone makers.

QUICK EDIT

Quo vadis, Venu?

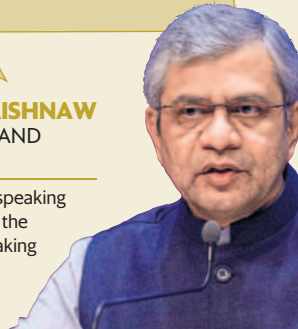
An open split within the Tata Group has cast unflattering light on the role of Tata Sons director Venu Srinivasan, chairman emeritus of the TVS group. It was his backing of a third term for N. Chandrasekaran as the Tata holding company's chair that created a resolution-legitimacy crisis at the group. The reversal of Srinivasan's stance on listing Tata Sons was key. In July 2025, as a Tata Trusts trustee, he had voted along with other trustees to keep Tata Sons private. This April, he said it should go public. That month, he wrote to the charity commissioner of Maharashtra, alleging that the trust's permanent trustees exceeded the maximum allowed under a new rule. Just months earlier, he had blocked Noel Tata's son Neville Tata and former Titan chief Bhaskar Bhat from joining as trustees of one Trust. Mehli Mistry, a former trustee, asked for a look into a possible conflict-of-interest in TVS's hiring of a top executive of Tata-owned Jaguar Land Rover; this raised further questions over Srinivasan's Tata commitment. That so much can hinge on the actions of a businessman from another business house is odd. The record of his role needs to be placed under a lens, to say the least.

QUOTE OF THE DAY

There are many chips which go in automobiles, in cars, scooters and motorcycles, that are manufactured in our country. We should be able to have many of those chips designed and manufactured in India.

ASHWINI VAISHNAW
ELECTRONICS AND
IT MINISTER

The minister was speaking in an interview on the country's chip-making prowess.



INSIDE

- Mark to Market | EMs have a bitter pill to swallow >P4
- Global | Refineries are now the main chokepoint for energy supplies >P8
- Money | EPFO wage ceiling raised. How will it affect your salary and pension? >P11
- Views | Tata Sons mustn't take a hazy path to the market >P12
- Business of Life | Middle managers under fire >P14

THE WEEK AHEAD

22-26 SEP UNGA GENERAL DEBATE
UN General Assembly's debate to bring world leaders together

22 SEP STARSHIP TEST FLIGHT
SpaceX's Starship prepares to take off for its next test flight

24 SEP NSE IPO LISTING
NSE eyes a tentative listing after regulators clear the exchange's IPO

24 SEP ANALOGUE PANEER BAN
FSSAI to consult governments on analogue paneer; ban possible

24 SEP TRUMP INVITES XI
US President Trump invited Chinese President Xi to White House

26 SEP EAM JAISHANKAR AT UNGA
EAM S. Jaishankar to address the UN General Assembly's session

COLUMNS

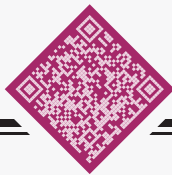


RAJESH SHUKLA
INDIA'S CONSUMER MARKET
CANNOT BE MAPPED BY
NATIONAL AVERAGES >P13

Manu Joseph
WHY GOVERNMENT
SCHOOL REFORM
IS A BIG POLITICAL
IDEA >P12

Nitin Pai
A MANAGER'S GUIDE TO
ECONOMIC STATECRAFT:
TRY THIS EIGHTFOLD
PATH >P12





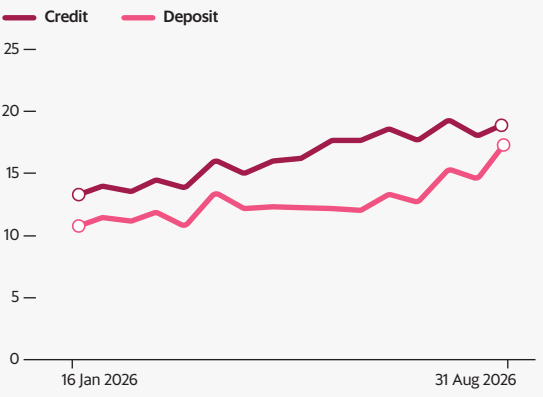
NUMBERS TO WATCH THIS WEEK

BY PAYAL BHATTACHARYA & ANJISHNU DAS | payal.bhattacharya@livemint.com

This week, watch out for key data releases and announcements for policy cues. The Reserve Bank of India's latest bank credit and deposit data will show whether the sharp acceleration in deposit growth is holding up, while September flash Purchasing Managers' Index will bring an early reading of private-sector activity and August output data for India's eight core industries will have cues on the industrial momentum. From the US, Federal Reserve officials' comments will be tracked for signals on the rate path as higher oil prices spur inflation risks. And, with the World Tourism Day on 27 September, it's time for a snapshot of foreign tourist arrival data to see how India compares with peers. *Mint* lists what you should track and why over the next seven days:

Deposit growth gathers pace in August, credit remains firm

Year-on-year growth in outstanding balances of scheduled commercial banks, weekly (in %)



Source: Department of industrial policy and promotion, CMIE



DEPOSIT DASH

BANK DEPOSITS have grown at a faster pace than that of credit, reaching 17.8% by end-August from 12% in mid-June. The Reserve Bank of India's fortnightly bank credit and deposit data for 15 September, due this week, will show whether the pace of deposit growth holds.

In the fortnight ended 31 August, deposits rose by ₹9.4 trillion, while credit increased by ₹3.8 trillion. Credit growth rose to 19.1% from 18% on 15 August, helped by a favourable base effect and continued demand for bank loans. The pace in deposits has moved closer to credit, as the former jumped from 13.3% end-June to 17.8% just two months later. For context, credit growth rose from 18.6% to 19.1% over the period.

The sharp rise in deposits came as banks mobilized funds ahead of the 31 August deadline for the special FCNR(B) swap window, with most of it coming from time deposits. CareEdge Ratings expects the deposit rush to ease in the coming fortnights and also credit growth to slip to 15-16% in FY27 as favourable base effects fade.

PMI PULSE

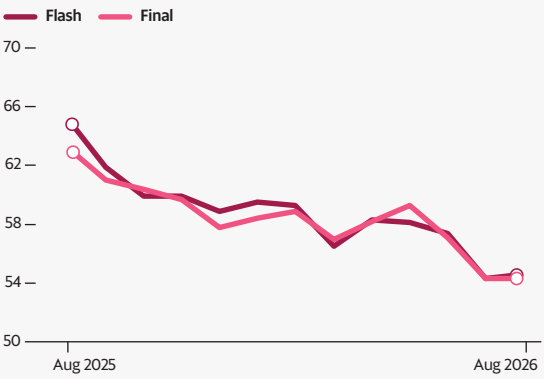
INDIA'S FLASH Purchasing Managers' Index (PMI) figures for September, due on 23 September, will offer an early reading of private-sector activity before the final numbers are released. An analysis of flash and final figures shows the flash composite PMI has been revised down in nine of the past 13 months since August 2025.

In August 2026, for instance, the flash composite PMI of 54.6 was revised down to 54.3 in the final reading. The final composite PMI exceeded the flash reading only in March and May 2026 and October 2025 during this period. However, the pattern differs across manufacturing and services. Manufacturing flash readings have generally been higher than the final figures, with the final PMI falling short in 10 of the past 13 months.

Services has shown the opposite trend, with the final PMI exceeding the flash reading in seven of the past 13 months. In August, the final manufacturing PMI rose to 57.9 from 56.9 in July, while services PMI eased to 60.5 from 61.2, keeping the composite PMI at 59.8.

Composite PMI's final figures trailed flash numbers in 9 of last 13 months

India's Purchasing Managers' Index (Composite), monthly



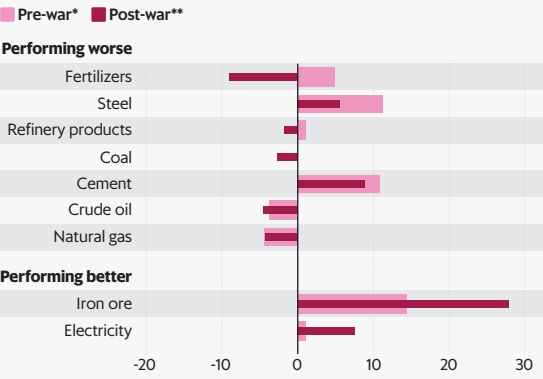
A reading above 50 denotes month-on-month expansion, and a reading below 50 denotes contraction.

Source: CMIE, S&P Global



More industries are seeing a fall in growth post the West Asia war

Year-on year growth in core sector industries (in %), 5-month average



*Average for Oct 2025-Feb 2026. **Average for Mar-Jul 2026.

Source: CMIE, Mint calculations



CORE CHECK

THE AUGUST data for eight core infrastructure industries will be out this week, with the latest print showing a broad weakening amid the West Asia war.

A *Mint* analysis of sector-wise data showed only iron ore and electricity saw stronger growth in the five months compared to their pre-war averages. Iron ore growth averaged 27.8% in March-July, up from 14.4% in October-February, backed by robust steel demand and a low base. Electricity growth rose to 7.6% from 1%, with the pace easing in July as cooler weather cut demand.

Fertilizers saw the sharpest deterioration, with average growth falling from 4.9% before the war to a 9.1% contraction after it. War-related disruptions to LNG supplies and higher prices of inputs ammonia and sulphur affected fertilizer production, particularly in the June quarter. Steel growth slowed to 5.6% from 11.2%, while refinery products, coal and cement also recorded lower average growth. Crude oil and natural gas remained in contraction, reflecting continued weakness in domestic production.

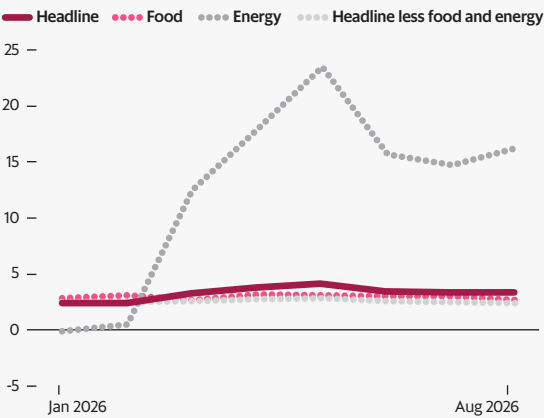
FED FLAGS

MARKETS WILL watch comments from US Federal Reserve officials John Williams and Philip Jefferson on Tuesday for clues on the next steps in monetary policy, after the Fed raised its policy rate by 25 basis points to 3.75-4% last week. The remarks come as oil prices have topped \$100 a barrel amid the war, adding to inflation risks just as the Fed has resumed tightening after a three-year pause. US headline inflation rose to 3.4% in August from 2.4% in January, with energy inflation at 16.3%, although inflation excluding food and energy eased to 2.4% from 2.5% over the same period.

Fed's projections point to another hike in 2026, while inflation is now seen at 3.7% in 2026, up from 3.6% projected in June. Economic activity and investment have held up, giving the central bank room to focus on inflation. Williams, president of the New York Fed, and Jefferson, Fed's vice chair, will offer an early read on whether they see the projected next hike as apt and if the oil shock could alter the rate path. Their comments will bring cues for US Treasury yields and the dollar.

Amid rising energy prices, Fed officials' speech may shed light on the next rate move

Year-on-year inflation in US (in %), monthly

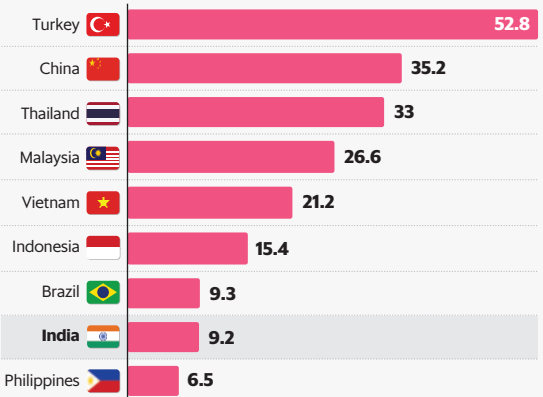


Source: US Bureau of Labour Statistics



India trails most EM peers in foreign tourist arrivals; Turkey, China top the list

Foreign tourist arrivals in select emerging market economies (in millions), 2025



Source: CMIE, tourism ministry of respective countries



TRAVEL TRAVAILS

IT'S WORLD Tourism Day on 27 September, time to track the numbers. Data on foreign tourist arrivals from emerging economies places India among the least popular travel destinations despite being home to as many as 45 Unesco World Heritage Sites.

In 2025, India drew 9.2 million tourists from abroad, well behind peers Turkey (52.8 million), China (35.2 million), Thailand (33 million), Malaysia (26.6 million) and Vietnam (21.2 million). Its foreign tourist arrivals for the year slipped from just under 10 million in 2024.

A big factor for this decline was the sharp fall in tourists from Bangladesh due to geopolitical tensions and more stringent visa requirements. The number of tourists from Bangladesh fell by 73% in 2025, down to 0.47 million, with visitors from other major source countries, including the US, UK and Australia, remaining largely unchanged.

Foreign tourism to India had peaked in 2019 at 10.9 million, a level that the country is yet to recover to since the pandemic.

Monday, September 21, 2026

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Weather forecasting to get a ₹10,000-crore push ▶P2

Nifty may be due for recovery: Anand Rathi's Azeez ▶P4

SENSEX 74,294.96 ↗ 0.00 NIFTY 23,346.40 ↗ 0.00 DOLLAR ₹95.96 ↗ ₹0.00 EURO ₹110.10 ↗ ₹0.00 OIL \$111.81 ↓ \$0.12 POUND ₹128.20 ↗ ₹0.00

Noel challenges mode of Chandra's reappointment

'Different Article used in 2022; board disclosed matters it agreed to keep private'

Varun Sood & Satish John
BENGALURU/MUMBAI

The board of Tata Sons applied two different constitutional rules in 2022 and 2026 to reappoint its chairman, Tata Trusts chairman Noel Tata claimed, after N. Chandrasekaran won a third term at the helm of the conglomerate following a controversial vote.

Noel also said the board made the announcement even though the directors had agreed not to disclose the matter until a legal opinion was secured, and a general meeting approved Chandrasekaran's directorship.

After nearly four hours of unusual events at Thursday's meeting, Tata Sons released a one-page statement, saying its board had "resolved by a majority" to reappoint chairman N. Chandrasekaran for five more years. After Tata Trusts nominees Noel and Venu Srinivasan cast opposing votes, Harish Manwani who chaired the process made the casting vote in favour of the reappointment, in a defeat for Noel.

In two letters sent after Thursday's contentious board meeting, Noel expressed his "serious disap-

TRUST DEFICIT



BOMBAY BLUES

2 key articles in Tata Sons' AoA are at the heart of the matter

ARTICLE 118 governs chair selection, Art 121 broader matters

TRUSTS says resolution failed without its affirmative support

pointment" and "strong objection" to the board's actions.

"Conduct of this kind is an affront to the board and to the basis on which its members, including myself, participated in today's proceedings. To communicate to the public and to the market that a decision has been

finally taken, when the directors

TURN TO PAGE 6

The lawyer at the centre of Tata Sons chair dispute Casting vote can't prevail over 1:1 vote by trustees: Trusts

TURN TO PAGE 6

How 17 Sep unfolded

Satish John & Varun Sood
MUMBAI/BENGALURU

When Tata Sons announced that N. Chandrasekaran had won a fresh term as chairman and that the company was ready to comply with central bank guidelines, the news met Tata Trusts chairman Noel Tata with surprise. He had left Bombay House after the directors agreed not to finalize the two matters until a legal opinion was sought, and Chandrasekaran secured his directorship at a future AGM.

Mint puts together the story of how the Tata Trusts chairman was outflanked by the Tata Sons board, which rebelled against its majority owner for the first time in the conglomerate's history.

FULL STORY ON PAGE 10

Coforge, Hexaware help clients tackle AI token budgets

Jas Bardia
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BENGALURU

As businesses use more artificial intelligence (AI), they are running into a new problem, as some of them are burning through a year's token budget in months or even days. Two fast-growing, mid-tier information technology (IT) firms, Coforge Ltd and Hexaware Technologies Ltd, are now helping clients navigate these costs by helping them manage AI use better and reworking how they charge for it.

While India's seventh-largest IT firm Coforge is helping clients manage AI token use by using certain AI models fit for specific tasks, Hexaware's each new proposal now carries a token-based pricing option.

The token usage focus comes as its prices determine AI usage for companies integrating the technology into daily businesses. A token is the fundamental unit of data processed by large language models such as OpenAI's ChatGPT or Anthropic's Claude. They are the building blocks used by AI to analyze and generate text, image and software code. For Fortune 1000 firms,



Using AI tools can generate massive token bills.

which form the backbone of India's IT client base, running AI tools in large quantities can generate massive token bills, paid either directly to AI vendors or passed through tech services firms.

During its webinar on "Operationalising Enterprise Autonomy" on 17 September, Coforge said it is looking to manage token usage through architecture and model choice, rather than raw token usage alone. It is looking at cost per unit of work with model mix and use of open-weight AI models reducing AI token costs.

"I think trying to measure

TURN TO PAGE 9

DON'T MISS



Samara makes logistics bets; acquires stakes in ARC, Calyx

Samara Capital built an integrated logistics platform by acquiring stakes in Associated Road Carriers, one of India's largest B2B road transportation firms, and Calyx Container Terminals, a licensed container freight station serving the Chennai Port.

▶P3

Serum Institute invests ₹250-cr in Yotta Data's July round

Vaccine maker Serum Institute of India (SII) has emerged as an early backer of Yotta Data Services, investing ₹250 crore in its ₹1,396 crore fundraise in July, which valued the company at ₹37,000 crore, according to company filings reviewed by Mint.

▶P3

Industry has to follow consumer, it has no choice: FSSAI chief

FSSAI is looking at tighter scrutiny of online food businesses, clearer information for consumers, warning symbols on packaged foods and tighter controls on claims made by firms, its chief executive officer Rajit Punhani said in an interview with Mint.

▶P6

NOTE TO READERS The Media Marketing Initiative on Page 3 is the equivalent of a paid-for advertisement and no Mint journalist was involved in creating it. Readers would do well to treat it as an advertisement.

Nilon's taps investors for major stake sale

Priyamvada C.
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MUMBAI

Pune-based Nilon's, which makes pickles, spices and other packaged foods, is exploring a majority stake sale that could value it at ₹800-1,200 crore, as per three people familiar with the development.

The deal process has been launched, with several strategic and private equity firms tapped to participate, said one of the people cited above. Existing investors are exploring a partial or full stake sale, but the exact terms of the deal have yet to be determined, as discussions are still underway, added the second person.

"The company is seeking a valuation of about 2-2.5x its revenue. If the deal materializes, the current thinking is for



Nilon's makes pickles, spices, other packaged foods.

the founding family to continue overseeing the operations," the third person said, adding that O3 Capital is helping Nilon's find buyers.

All the people spoke on the condition of anonymity, as the discussions are still private. Mint's queries emailed to

TURN TO PAGE 6

Central job exam calendar on cards

Dhirendra Kumar
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NEW DELHI

For millions of job aspirants across India, clashing examination dates, constant delays, and repeated long-distance travel have made pursuit of a government career a costly ordeal, prompting the Centre to intervene with a structural fix.

Under a new plan spearheaded by the Department of Personnel and Training (DoPT), the government is moving to streamline the annual calendar for competitive examinations conducted by various state-run recruitment agencies. According to two persons in the know, the goal is to avoid scheduling conflicts and bring predictability to the public sector recruitment system.



The hiring backlog across the bureaucracy is substantial.

The initiative aims to ensure timely filling of vacancies across central government departments and public sector undertakings. It follows repeated disruptions to recruitment exams caused by paper leaks, technical glitches, administrative issues, litigation

TURN TO PAGE 4

PwC deal redraws advisory playbook

Devina Sengupta
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MUMBAI

The decision of a majority of around 500 equity partners of PwC India to give their 'ayes' for a joint venture of their consulting business with the PwC US Advisory's India-based capability centre in India has put advisory industry at home in a pickle. For some, it is a playout of artificial intelligence's (AI) impact on the industry which is pushing firms to offer both backend and consulting services from one single platform with assurance of high-skilled deliveries. For others, this is the road ahead for them as well where they have to combine forces or work more closely with their offshore centres to ward off competition.

PwC India is part of a group



In the new JV team of 40,000, PwC US will hold 50.1% stake and PwC India will own 49.9%.

of audit and consulting firms in India called the Big Six. The others in the coterie include EY India, KPMG India, Deloitte India, Grant Thornton Bharat and BDO. These firms are mainly audit companies but over the years have developed their consulting and advisory arms too which not only compete with one another but also with

pure play consulting firms like Kearney, Bain & Co., McKinsey & Co.

"The majority of clients are no longer satisfied with expertise limited to a territory alone; they now require the global expertise that the joint venture offers by bringing the strength of the PwC Network together. There is little value in maintaining

two teams that operate along similar lines. The joint venture will also augment our ability to invest," Sanjeev Krishan, chairman for PwC India told Mint.

In the new JV team of 40,000, PwC US will hold 50.1% stake and PwC India will own 49.9%. The audit teams will remain untouched because they are governed by the local regulations and cannot get merged with global arms or GCCs.

"There will be no rationalization in our workforce. In fact, to achieve our target of 5x growth over three years, we will need more senior people. Through this joint venture, we will have access to a wider client base across the world, and that will translate into higher-value billing and greater opportunities to work with global clients—which

TURN TO PAGE 9

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*Individual Death Claims Paid Ratio as per Annual Audited Financials for FY 2025-26, Claims Paid Ratio rounded off to the nearest single decimal figure.

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STRAIGHT
FORWARD
SHASHI SHEKHARRespond to this column at
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ARE WE SEEING THE RETURN OF AN AGE OF BLOODY WARS?

The Gulf nations are on high alert following the US warning, amid mounting fears that the Iran war could spiral out of control. Even countries far from the conflict are bracing for the fallout, worried that an escalation could send oil prices soaring.

It's clear the days of bloody wars have returned. Exhausted by two world wars, humanity created institutions like the United Nations. However, today the hallowed institution presents a sad picture of its growing irrelevance.

History seems to be repeating itself as leaders of the powerful nations became equally unbridled just before World War II broke out.

Between 1936 and 1939, the Rome-Berlin Treaty, Anti-Comintern Pact, Munich Treaty and Molotov-Ribbentrop Pact undermined the League of Nations as major powers sought to reshape the global order. The US always stayed away from the 'League'. This gave despots like Hitler and Mussolini a chance to wreak havoc. You can view the Quad and Mecca Pacts from the same lens.

The level of the league's incompetence can be gauged from the fact that in 1930, Japan's Emperor Hirohito, frustrated by the US economic depression, ordered the annexation of Manchuria. Italy overran Ethiopia and Hitler was itching to gobble up Czechoslovakia. Financially strained, Britain and France pleaded with the two dictators to halt their expansion. Under the Munich Agreement, they agreed to hand Germany Czechoslovakia's Sudetenland, but Hitler's greed knew no bounds.

Isn't today's situation reminiscent of those times?

Russia and Ukraine have been locked in an endless war. There's no let-up in Israel's excesses in Gaza. Six months ago, US and Israel attacked Iran thinking they will effect a regime change. But Iran attacked more than 20 US bases in the Gulf region.

The war exhausted US firepower and the Pentagon had to summon missiles and other military hardware from its bases in South Korea and Japan. It rattled Seoul and Tokyo. The question was who will rescue South Korea if North Korea decides to attack and who will Japan seek out for help if China invades.

Still Trump and his associates claim that they have destroyed Iran and won the war. Iran's President Masoud Pezeshkian is making identical claims. The US media insists Russia and China are waging a shadow war against the US using Iran as a proxy.

Today US missiles and bombs are silent against Iran. Iran too is fighting indirectly. At its behest Houthis have captured Yemen's coastal areas and two strategic islands near the Bab el-Mandeb strait. The Saudi oil trade has been disrupted. 12% of the world's trade and 30% of container traffic passes through this narrow waterway. Iran-dominated Strait of Hormuz is already under threat. It's the highway for 20% of the global energy trade.

This is the reason world crude prices have climbed back above the \$100 per barrel mark. London's Baltic Exchange says that the crude tankers' daily rates have witnessed a spike of a million dollars.

The world's major economies, the US, China and Japan are under extreme stress. 90% of Japan's crude oil moves from Hormuz. It's forced to sell US treasury bonds to pay for its fuel bill.

The US is forced to buy back its bonds to save its reputation. The steady Wall Street stock market has started to wobble. Fuel price hikes led to inflation in food and essential items. The US Federal Reserve is forced to hike interest rates after a gap of three years to curb inflation.

Angry with the chaos, Republican representative from Kentucky, Thomas Messie, has proposed to move the impeachment process against defence secretary Pete Hegseth. Even President Donald Trump has come under heavy criticism. His gamble to impose 100% tariffs on India and other nations seems to be backfiring.

In 1930, the US Congress passed the Smoot-Hawley Tariff Act. It imposed a record import duty on more than 20,000 foreign goods. Many countries around the world imposed retaliatory tariffs. It pushed the US into a full-blown depression. Is this great country repeating its old mistake?

Distressed global systems have led to expansion in regional conflicts. The world is feeling the heat of more than 50 armed struggles. Many qualify as wars. That is why, on International Peace Day, I recall with sadness Plato's famous quip: "Peace is merely an interval between two wars." Perhaps we have crossed the Rubicon and the age of peaceful interregnums is behind us.

Shashi Shekhar is editor-in-chief, Hindustan. Views are personal.

Pharma department to curb hospital consumable markups

Department to review previous trade margin rationalization exercises, submit an assessment

Priyanka Sharma
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NEW DELHI

Chemicals and fertilizers minister J.P. Nadda has directed the Department of Pharmaceuticals (DoP) to explore measures to curb excessive markups on hospital consumables, according to two government officials aware of the development.

The development comes after *Mint* reported on 15 September that some hospital surgical consumables and medical devices were being sold at markups of as much as 2,841% over their trade procurement prices, according to a Maharashtra government survey. The findings prompted Maharashtra Food and Drug Administration (FDA) Commissioner Tukaram Mundhe to seek a national review of medical device pricing rules.

Nadda, who also holds the health and family welfare portfolio, issued the directive during a high-level review meeting on Friday attended by senior officials from the DoP and the National Pharmaceutical Pricing Authority (NPPA), among others, the officials said.

The meeting focused on evaluating trade margin rationalisation (TMR) for medical devices and inpatient consumables, with the aim of addressing excessive markups in private healthcare, they added.



The pricing discrepancies involve IV sets, syringes, nebuliser oxygen masks, catheters, cannula extension lines and filters.

HT

The DoP has been asked to review previous trade margin rationalisation exercises and submit a comprehensive assessment of possible regulatory and policy measures, one of the officials said.

"During the discussions, Nadda sought an overview of previous trade margin exercises undertaken in different years, including 2004, 2008 and the 2019 intervention on cancer drugs initiated by the NPPA, to assess their impact and determine viable future steps," the official said.

Trade margin regulation was first examined in 2004 by the G.S. Sandhu

committee to address margins exceeding 1,800% on non-scheduled generic medicines. Policy deliberations continued around 2008. In February 2019, the NPPA capped trade margins at 30% for 42 non-scheduled anti-cancer drugs to reduce treatment costs for patients. Mundhe had written to the DoP and the NPPA seeking a review of the survey findings and appropriate action, including the possibility of capping trade margins or bringing essential medical device categories under structured price monitoring.

Queries emailed to the offices of the chemicals and fertilisers minister and

the health and family welfare minister, as well as spokespersons for the health and ministry, the DoP and the NPPA, the NPPA chairman and the pharmaceutical secretary, went unanswered.

Under the current system, scheduled medicines are subject to statutory ceiling prices, while non-scheduled medical consumables are not subject to direct price caps and are governed by annual limits on MRP increases. The absence of a direct price-control mechanism for these products has raised concerns about wide gaps between procurement costs and the prices charged to patients.

The pricing discrepancies involve medical devices and consumables used in inpatient care, including IV sets, syringes, nebuliser oxygen masks, catheters, cannula extension lines and filters. These products remain outside the direct ceiling-price mechanism under the Drugs (Prices Control) Order (DPCO), 2013.

Mundhe has called for trade margin rationalisation and clear limits on the gap between procurement prices and declared MRPs, citing information asymmetry faced by patients with limited ability to compare prices or choose alternatives during hospital treatment. The Maharashtra government assured stringent action and a comprehensive probe into excessive device pricing on Thursday.

For an extended version of this story, go to [livemint.com](#)

2,841%
Markup at which
consumables and
devices were sold

30%
The 2019 trade
margin cap for 42
cancer drugs

Food prices stable as Govt to modernize weather forecasting production rises

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NEW DELHI

Retail prices of key food commodities remained broadly stable during the week ended 18 September, supported by higher foodgrain production, comfortable stock positions and stable supply conditions, according to a statement released by the department of consumer affairs on Sunday.

Among key food items, sugar saw the sharpest week-on-week decline, with its all-India average retail price falling 2.37% to ₹58.55 per kg on 18 September, from ₹59.97 a week earlier. Masoor dal prices fell 1.06% to ₹89.79 per kg, while rice declined 0.49% to ₹46.26 per kg.

Among other pulses, gram declined 0.17% to ₹88.07 per kg, urad dal fell 0.24% to ₹122.68, and moong dal declined 0.22% to ₹111.94. Tur dal was the exception, rising

0.21% to ₹124.43 per kg, it said. Prices of cereals were largely steady. Wheat declined marginally by 0.06% to ₹31.77 per kg, while atta prices fell 0.35% to ₹37.39 per kg.

The moderation in food prices could provide some relief on the inflation front after retail inflation rose to a 20-month high of 4.82% in August, driven by higher food and fuel prices. Inflation has remained above the Reserve Bank of India's 4%

medium-term target for the third consecutive month since January 2025.

"The current price trend points to a comfortable food-supply situation, with higher production of pulses and cereals and adequate stocks providing a buffer against price pressures," said Rakesh Arrawatia, professor at the Institute of Rural Management Anand (Irma) and dean, School of Cooperative Banking and Finance.

For an extended version of this story, go to [livemint.com](#)

Banikinkar Pattanayak & Vijay C Roy

NEW DELHI

The Centre is planning a ₹10,000-crore push to modernise India's weather forecasting system by substantially expanding the Mission Mausam scheme, including a higher annual outlay for new weather radars, satellites and trained manpower, according to two people aware of the development.

The latest proposal comes as erratic weather and natural disasters raised social and economic costs for a country where about 43% of the workforce is engaged in farming and companies in sectors—ranging from aviation, land logistics and insurance to green energy—are increasingly dependent on accurate weather and climate forecasts for tailoring business models.

The finance ministry is evaluating the fiscal impact of the ministry of earth sciences' proposal and will decide shortly, the people cited earlier said on condition of anonymity. The plan aims to create the necessary ecosystem to strengthen prediction models and set up a



The latest proposal comes as erratic weather and natural disasters raise social and economic costs for India.

HT

robust early-warning system to help authorities and citizens better anticipate extreme weather events and mitigate their impact.

The government spent ₹1,346 crore on Mission Mausam, a national initiative aimed at preparing India for extreme weather events, until the end of 2025-26 since its launch in January 2025, and budgeted another ₹1,342 crore for fiscal year 2027 (FY27).

Experts say modernising weather forecasting has become important as sudden bouts of heavy rain and extreme heat disrupt daily life, damage infrastructure and weigh on economic activity.

"The biggest gains in forecast accuracy will come from a combination of denser observations, better computing and higher-resolution models. Additional radars and weather stations can improve observa-

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tion, and better computing models will help in making more precise weather forecasts," said B.N. Goswami, former director of the Indian Institute of Tropical Meteorology, Pune.

Queries emailed to the ministries of earth sciences and finance went unanswered.

The push comes in the backdrop of extreme weather events raising social and economic costs. Citing a study by Global Commission on Adaptation (GCA), the World Meteorological Organization says that just 24 hours' notice of an impending storm or heatwave can cut potential damage by 30%. The GCA also reports that an \$800-million investment in a multi-hazard early warning system in developing nations could prevent annual disaster losses of \$3-16 billion.

The frequency of natural calamities in India has risen due to climate change. According to OECD Development Centre's economic outlook for Southeast Asia, China and India 2025, India loses 0.4% of its Gross Domestic Product annually due to natural disasters and extreme weather events.

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For an extended version of this story, go to [livemint.com](#)

India plans person-level tracking of seafarers as West Asia war rages

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NEW DELHI

The ongoing West Asia conflict is pushing India to change how it keeps track of its seafarers overseas, with the government building a system that can pinpoint individual Indian crew members aboard ships anywhere in the world during a crisis, the ministry of ports, shipping and waterways told *Mint*.

The effort follows Prime Minister Narendra Modi's proposal at the recent Brics Summit for a seafarer network that could eventually link India's

maritime systems with those of bloc and later other maritime nations. The system is envisaged as a round-the-clock emergency network.

Under the ministry of ports, shipping and waterways' (MoPSW) direction, the directorate general of maritime administration (DGMA) is developing the Seafarers' Emergency Support Network by building on its existing eNavik seafarer-tracking system. The framework would allow authorities to identify where an Indian seafarer is working, the vessel they are on and the agency responsible for them, enabling a quicker



The framework would allow a quicker response during conflicts, attacks, accidents, abandonment or other emergencies.

REUTERS

response during conflicts, attacks, accidents, abandonment or other emergencies.

The initiative assumes sig-

nificance given India's large presence in the global maritime workforce, with Indians forming the second largest

community, employed not only on Indian-flagged vessels but also on ships registered under foreign ones. According to the BIMCO-ICS Seafarer Workforce Report 2026, India contributes 311,936 maritime professionals, including 140,718 officers.

While the DGMA has a repository of all Indian seafarers whether on Indian or foreign flagged vessels, the tracking mode is vessel-oriented. The proposed network seeks to close this gap by moving to person-level tracking.

"The real challenge for the government lies in collating this scattered data into a single,

unified dashboard automatically without manual input from shipping companies and/or ships," said captain Rajat Mehta, chief operating officer at Chennai-based Su-Nav Group, an international maritime ship management and marine services provider. He added that data security covering companies, clients and seafarers also needs to be ensured.

The urgency has been underscored by the ongoing US-Iran conflict, in which commercial vessels and their crews have faced risks in the Persian Gulf, Strait of Hormuz and Gulf of Oman. Recent incidents involving merchant ships have

also highlighted the difficulty of immediately determining which Indian nationals are aboard vessels operating in affected waters.

In response to query mailed by *Mint*, the MoPSW said under the proposed revamp of seafarer tracking and emergency response systems, India's existing eNavik Seafarer tracking module will be used as the foundation of the system, as this module already maintains details of Indian crew engaged on vessels worldwide, with vessel positional information updated at least every 24 hours.

For an extended version of this story, go to [livemint.com](#)

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Samara makes logistics bets

Private equity firm acquires stakes in Associated Road Carriers and Calyx to create integrated logistics platform

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MUMBAI

Samara Capital has created an integrated logistics platform by acquiring stakes in Associated Road Carriers (ARC), one of India's largest business-to-business (B2B) road transportation companies, and Calyx Container Terminals (Calyx), a licensed container freight station serving the Chennai Port, the companies said in a statement.

The private equity firm invested close to ₹1,200 crore, with the promoters and the firm holding almost equal stakes in the new entity, said an industry executive, although the firm did not disclose financials of the deal.

PwC was the financial advisor to Samara Capital, while EY advised the promoter group.

The fresh capital will be directed towards expanding the branch and hub network, strengthening first-mile and last-mile capability, technology modernization and selective acquisitions, the statement said.

"Networks of this density are built over decades," said Abhishek Kabra, managing director at Samara Capital. "Very few businesses in Indian logistics combine that reach with the quality of earnings. Together with Calyx,



ARC brings a pan-India road freight network, and Calyx adds port-linked container handling and Exim capabilities

forming assets in the space through its prior investment in Spoton Logistics, which emerged as a leading player in the express logistics segment and was subsequently acquired by Delhivery in 2021.

"This transition is a conscious step towards institutionalizing the business, separating ownership from management, strengthening its governance and creating an opportunity for sustainable long-term growth," said Rajiv Goyal, who represents the promoter group of ARC and Calyx. "While the company transitions to professional management, the promoters will remain available to the company for guidance, support and the benefit of our experience whenever required."

Founded in 1972, ARC operates over 20 hubs and about 600 branches across more than 16,000 pin codes, with nearly 2 million square feet of covered hub space. The company deploys around 3,500 trucks daily on an asset-light model, with under 7% of the fleet owned, and serves more than 100,000 active customers across project cargo, full-truckload (FTL), and part-truckload (PTL). Its customer base spans capital

goods, chemicals and pharmaceuticals, power and electrical equipment, metals, automotive, textiles and fast-moving consumer goods, with about 95% of revenue coming from existing customers and no single customer accounting for more than a small share of revenue. Nearly half of the revenue comes from relationships of more than 10 years' standing, the company said.

Meanwhile, Calyx operates a container freight station about 20 kilometres from the Chennai Port, with an annual capacity of around 75,000 TEUs, alongside supply chain management and empty container yard services for shipping lines and clearing agents. Founded in 2006, it ranks among the leading Container Freight Station operators at the Chennai Port and adds integrated Exim capability.

Samara Capital, founded in 2007, is a mid-market focused PE firm with over ₹12,000 crore invested across a diverse portfolio of more than 30 companies. It focuses on four core sectors: consumer-retail, healthcare-pharma, financial services, and business services and technology.



Yotta's holding company, Nidar Infrastructure, has also infused ₹1,308 crore into the company since May.

Serum Institute pours ₹250 cr in Yotta's data centres

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MUMBAI

Vaccine maker Serum Institute of India (SII) has emerged as an early backer of Yotta Data Services, investing ₹250 crore in its ₹1,396 crore (\$150 million) fundraise in July, which valued the company at ₹37,000 crore (nearly \$4 billion), according to company filings reviewed by *Mint*.

Non-banking financial services firm Dovetail Financial Services Pvt. Ltd and Mauritius-based venture capital firm Asio Fund VCC invested ₹1,029 crore and ₹77.3 crore in the first publicly disclosed funding round of real estate giant Hirmandani Group's data centre arm, the company disclosed in filings with the ministry of corporate affairs (MCA).

Yotta's holding company, Nidar Infrastructure Ltd, has also infused ₹1,308 crore into the company since May 2026, taking its total fundraise to ₹2,704 crore (\$325 million).

In an interview with *Mint*, Sunil Gupta, chief executive of Yotta, confirmed these investments, adding that Dovetail and Asio were proxies for "140-plus high net-worth individuals (HNIs) and family offices". "One of them who cut a little larger cheque is Adar Poonawalla (SII's CEO), which is a direct investment. Domestic HNIs and families have invested through the domestic vehicle, Dovetail. Interna-

tional HNIs and families have invested through the Mauritius fund, Asio VCC. Both Dovetail and Asio were arranged by ASK Investments," Gupta said.

Dovetail's investment came with a caveat: Yotta would pay 17% interest per annum on the capital raised. A 24 December pre-investment note on Yotta by EY India said the clause may allow investors to recover their investments at the aforementioned rate, between 33 and 36 months after the capital is raised.

Gupta claimed that the clause is to "give investors comfort that if, for whatever reason, a monetization event like an IPO (initial public offering) does not happen, then they will have a backstop of a certain percentage of return." The company is seeking to go public by March 2027, by which time it hopes to raise \$1.5 billion in total.

Mint, however, could not independently confirm his claim of family investors, and the roles of Dovetail, Asio and ASK. The firms didn't respond to *Mint*'s queries till press time.

Gupta declined to divulge their identities, citing confidentiality agreements. He said his investors have committed capital for the long term and would not be awarded a seat based on the above-mentioned investments.

The funding comes as top Indian conglomerates ramp up data-centre investments. For an extended version of this story, go to [livemint.com](#).

AdvaRisk draws interest from Anicut for \$20 mn funding round

Priyamvada C. &
Nabodita Ganguly

MUMBAI

CICI Bank-backed startup AdvaRisk, which has been eyeing \$20 million in its latest round, is moving closer to finalizing the fundraise with Anicut Capital's growth fund set to join Fundamentum as an investor in the company, three people familiar with the matter said. The funding round by the firm that helps banks and financial institutions detect fraud and assess borrower risk, will include primary and secondary share sale and is likely to close in the next 15-20 days, the first person said on the condition of anonymity as the discussions are still private.

"Nabventures, venture cap-



The round is expected to include primary fundraise and secondary share sales and may close in 20 days.

ISTOCKPHOTO

ital arm of Nabard, is an existing investor and may also participate in the round," a second person said. "Existing investors, including Sprout Venture Partners, SEA fund and a few other angel investors, may look to exit as a part of the

round," a third person said.

The development sheds light on the round's investor mix and secondary component, as AdvaRisk seeks fresh capital while offering some existing shareholders an exit. The fundraise comes as banks

confront increasingly sophisticated fraud and step up efforts to track and recover stressed assets.

The firms did not respond to requests for comment until the time of publishing.

Mint reported earlier this month that AdvaRisk was in talks to raise \$20-25 million, or about ₹190-237.5 crore, from investors including Nandan Nilekani-led Fundamentum.

Founded by Vishal Sharma and Rahul Metkar in 2016, AdvaRisk helps banks and financial institutions identify financial fraud, assess borrower risk and improve recoveries from loan defaults. Its revenue rose from ₹6.7 crore in FY23 to ₹11.8 crore in FY25, while its losses widened from ₹4 crore to ₹10.7 crore over the same period, according to

Tracxn data.

It builds a database of real estate and other assets linked to defaulters, allowing lenders to identify assets against which they may recover dues. The company also automates the identification of red flags in lender accounts. AdvaRisk claims to work with several major financial institutions, including ICICI Bank, SBI, IDBI Bank, Punjab National Bank and AU Small Finance Bank.

According to data platform Tracxn, the company has so far raised \$7.89 million across four equity rounds. The founders collectively hold about 44% of the company.

Other shareholders include Sprout Venture Partners, ICICI Bank and Big Capital, according to Tracxn.

The firm was last valued at about ₹231 crore in April 2023, according to Tracxn data. The fundraise

comes as India's largest banks strengthen cyber defences, hire specialized talent and expand insurance coverage amid concerns that increasingly sophisticated artificial intelligence tools could enable faster, harder-to-contain cyberattacks.

[priyamvada.c@livemint.com](#) For an extended version of this story, go to [livemint.com](#).

AdvaRisk, with backing from ICICI Bank, nears \$20 million round as Anicut Capital prepares to join Fundamentum

IRCON INTERNATIONAL LIMITED
Navratna Company
(A Govt. of India Undertaking)
CIN-L4520DL1976GO000871, Web: [www.ircon.org](#)

e-Tender No: IRCON/2071/JCRL/CRCP/e-TENDER/Station Buildings/PKG-VIIA Dated: 20.09.2026

e-Open Tender in two packet system for and on behalf of Jharkhand Central Railway Limited is invited from eligible bidders for the following work:

Name of work: "Construction of Station Building at Pathalgada, Ichak Khurd & Simaria, S&T building at Duari, Tower wagon Shed at Simaria and Staff Quarters, Platforms at Duari, Pathalgada, Ichak Khurd and Simaria & Goods Platform at Simaria Railway Stations, in connection with Construction of Khatuasi-Shupur New RG Electrified Rail line Project (PKG-VIIA)"

Estimated Cost of the work	: Rs. 35,46,74,727.52
Earnest Money Deposit (EMD)	: Rs. 23,75,000.00
Last Date & Time of e-Bid submission	: 12.10.2026 up to 15:00 Hrs.

For further details, visit website: [https://etenders.gov.in/eprocure/app](#).
Corrigendum/Addendum, if any, would be hosted only on the website.
Chief General Manager (Civil),
IRCON INTERNATIONAL LTD., 121/C, B, Ashok Nagar, Ranchi, Jharkhand - 834002

MINT MEDIA MARKETING INITIATIVE

Portfolio rebalancing: How and when to do it smartly and avoid overlapping

Building a portfolio is only the first step in investing. Keeping it aligned with your goals is equally important. Portfolio rebalancing simply means reviewing and adjusting your investments periodically so that your portfolio continues to reflect your financial goals, risk comfort, and time horizon.

For example, suppose an investor starts with a portfolio allocation of 70% equity and 30% debt. If equity markets perform strongly over time, the portfolio may gradually become 80% equity and 20% debt. While returns may look attractive, the portfolio is now carrying more risk than originally intended. Rebalancing helps restore balance.

Mr Investor: If my portfolio is growing, why should I

smarTomorrows by CANARA ROBECO Mutual Fund
An Investor education and awareness initiative

disturb it by rebalancing?

Mr Mutual Fund: Because returns and risk grow together. A portfolio that drifts too far from its original allocation may expose you to more volatility than you intended. Rebalancing helps maintain discipline rather than reacting emotionally.

Rebalancing does not necessarily mean changing investments frequently. In most cases, periodic reviews are more effective than constant action. Check table 1 below

Another important



Consider this example:

- Investor A owns:
- Large Cap Fund A
 - Flexi Cap Fund B
 - Large & Mid Cap Fund C

At first glance, this looks diversified. But if all three funds hold similar large companies, the portfolio may become repetitive rather than diversified.

Mr Investor: I thought owning more funds means lower risk. Isn't that diversification?

Mr Mutual Fund: Not always. True diversification comes from combining investments that serve

different purposes, not buying many versions of the same thing. Table 2 below gives you a simple way to think about selecting mutual funds.

Mr Investor: So, how often should I rebalance? Every month?

Mr Mutual Fund: Frequent changes may create unnecessary complexity. A practical approach is to review periodically or when your goals, life stage, or portfolio allocation changes meaningfully.

Combined with thoughtful fund selection and avoiding unnecessary overlapping, rebalancing your portfolio can help investors maintain discipline, manage risk, and build portfolios that remain effective across changing market conditions.

Situation	Possible Rebalancing Approach
Equity allocation becomes much higher than planned	Gradually restore original allocation
Life goals change	Reassess asset mix
Major life events (marriage, retirement, career break)	Review portfolio suitability
Portfolio has too many similar funds	Consolidate to avoid overlapping

Objective*	Example Approach
Core long-term growth	One diversified equity fund
Income generation	One debt fund
Balanced exposure	One hybrid or asset allocation strategy

*Investors should note that the objective may or may not be achieved.

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.
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CURIOSITY DESERVES
A SUNDAY

Spend Sunday
discovering
something
new.



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READ EVERY SUNDAY



S&P BSE Sensex	Nifty 50	Nifty 500	Nifty Next 50	Nifty 100	S&P BSE Mid-cap	S&P BSE Small Cap
CLOSE 74,294.94	CLOSE 23346.40	CLOSE 22840.55	CLOSE 72025.40	CLOSE 24498.75	CLOSE 16859.55	CLOSE 7202.89
1-WEEK CHANGE (%) -0.65	1-WEEK CHANGE (%) -0.22	1-WEEK CHANGE (%) -0.11	1-WEEK CHANGE (%) -0.08	1-WEEK CHANGE (%) -0.19	1-WEEK CHANGE (%) 0.00	1-WEEK CHANGE (%) -0.32
1-MONTH CHANGE (%) -3.81	1-MONTH CHANGE (%) -3.35	1-MONTH CHANGE (%) -2.69	1-MONTH CHANGE (%) -3.07	1-MONTH CHANGE (%) -3.30	1-MONTH CHANGE (%) -2.24	1-MONTH CHANGE (%) -0.43
3-MONTH CHANGE (%) -4.02	3-MONTH CHANGE (%) -3.40	3-MONTH CHANGE (%) -1.58	3-MONTH CHANGE (%) -0.79	3-MONTH CHANGE (%) -2.91	3-MONTH CHANGE (%) 0.90	3-MONTH CHANGE (%) 2.73
6-MONTH CHANGE (%) -3.14	6-MONTH CHANGE (%) -1.81	6-MONTH CHANGE (%) 4.21	6-MONTH CHANGE (%) 9.68	6-MONTH CHANGE (%) 0.21	6-MONTH CHANGE (%) 10.85	6-MONTH CHANGE (%) 20.23
1-YEAR CHANGE (%) -10.50	1-YEAR CHANGE (%) -8.17	1-YEAR CHANGE (%) -2.88	1-YEAR CHANGE (%) 3.88	1-YEAR CHANGE (%) -6.07	1-YEAR CHANGE (%) 2.94	1-YEAR CHANGE (%) 3.08



The IPOs will be available for public subscription between 22 September and 28 September. ISTOCKPHOTO

Six companies line up IPOs worth ₹3,825-cr

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NEW DELHI

Six mainboard companies, including Elevate Campuses and Varmora Granito, are set to tap the primary market next week, seeking to raise a combined ₹3,825 crore through initial public offerings (IPOs), as fundraising activity continues at a brisk pace in 2026.

Alongside these two issues, Bengaluru-based A-One Steels India Ltd, ArMee Infotech Ltd, Swastika Infra and Adroit Industries (India) Ltd will also launch their public offerings, taking the total number of IPOs scheduled for the week to six.

The IPOs will be available for public subscription between 22 September and 28 September, with most of the issues opening on 23 September.

The funds raised through the fresh issues will largely be utilised for business expansion, capital expenditure, debt repayment, working capital requirements and other general corporate purposes.

The upcoming IPO activity follows a busy start to September, with 17 IPOs already concluded. The mega issue of the National Stock Exchange (NSE) and textile maker Sonaselection India Ltd are currently underway.

With these offerings,

the number of companies launching IPOs in 2026 is expected to rise to 87, including 23 issues in August.

"The primary market has clearly regained momentum, with July and August accounting for nearly 60% of the ₹83,062 crore raised through IPOs so far in 2026," said Kamraj Singh Negi, managing director and chief executive officer, Pantomath Capital.

"With the current pace of issuance and the depth of the pipeline, the market has the potential to surpass last year's fundraising levels, although the eventual outcome will depend on market conditions and

the timing of issuances, he added.

He further said that the outlook for the remainder of the year is particularly constructive,

given the depth of the pipeline. As many as 167 companies already have SEBI approval, representing an estimated ₹3.06 trillion of potential issue size, while another 71 companies, with an estimated ₹1.60 trillion, are awaiting approval. "This gives issuers considerable optionality to tap the market as conditions remain supportive," he added.

Hillhouse Investment-backed Elevate Campuses is set to hit the primary market with its ₹2,100-crore IPO on 23 September, with shares priced in the ₹343-362 range.

The upcoming IPO activity follows a busy start to September, with 17 IPOs already concluded

EMs have a bitter pill to swallow

Harsha Jethmalani
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Developed-market central banks are in a tightening cycle as they combat crude oil price-led inflation. The US Federal Reserve's 25 basis points interest rate hike last week was its first in three years, and another rate hike is on the cards before 2026 ends. The European Central Bank and Bank of Japan have raised rates, too. Asian markets' reaction to the Fed's much-anticipated move was mixed. The jury is now out on the timing and quantum of the next Fed hike, with the Fed meeting in October and December. A lot depends on crude oil price, which is already at \$110 per barrel.

A higher-for-longer interest-rate scenario exerts pressure on risk assets such as emerging market (EM) equities and Asian currencies. Local currency weakness invites imported inflation, making the central banks' inflation fight trickier. Further, a higher rate-led rise in treasury yields usually triggers capital outflows from other markets into the US.

A renewed tightening cycle by the Fed means a stronger dollar and

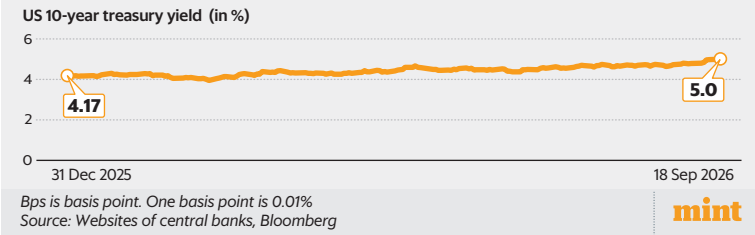
Raining rate hikes

Many developed market central banks raised interest rates in September amid crude-led inflationary pressures.

Central bank	Interest rate decision in September meeting	Current rate (in %)
Bank of Japan	25 bps hike in benchmark interest rate	1.25
European Central Bank	25 bps hike in deposit rate	2.5
Reserve Bank of New Zealand	25 bps hike in official cash rate	2.75
Bank of England	Status quo	3.75
US Federal Reserve	25 bps hike in benchmark interest rate	3.75-4

Fear factor

Spike in US 10-year treasury yield towards the crucial 5% mark has fuelled worries of increased borrowing costs.



Bps is basis point. One basis point is 0.01%. Source: Websites of central banks, Bloomberg

PRATEEK KUMAR/MINT

firmer bond yields. Higher yields weaken corporate balance sheets as the cost of capital rises, hurting earnings growth prospects. The US 10-year bond yield climbed above the 5% mark last week—its highest level since 2007. Higher government bond yields make fixed-income assets more

attractive than equities.

EPFR data collated by Elara Securities showed that last week, US funds saw a sharp \$64 billion rebound in inflows (a 3-month high) following the Fed's rate hike, while global emerging market funds recorded their first outflow in 10 weeks of \$877 million.

Among Asian countries, South Korea and India-focused funds saw outflows. Taiwan-dedicated funds attracted \$1.7 billion in inflows, but the underlying trend is showing early signs of moderation. This divergence suggests that the Fed decision may have triggered a relative re-allocation toward US equities, as the hike was accompanied by a resilient growth backdrop rather than signalling economic weakness, said the Elara report dated 18 September.

Lately, the artificial intelligence (AI) theme has dictated foreign flows into Asian economies such as South Korea, Taiwan, Thailand and Malaysia. India has been an exception to this trend since it is widely regarded as a non-AI hedge. But Shrikant Chouhan, head of

equity research at Kotak Securities, cautions about outflow even from AI-focused markets as the borrowing costs of firms investing heavily in AI capital expenditure inch higher on elevated interest rates.

The room for Asian central banks either to ease or maintain interest rates is shrinking. September marks

an inflection point in a broad-based developed-market hiking cycle, but the path forward for EM central banks is far less uniform, said Emkay Global Financial Services.

"Domestic conditions are driving considerable divergence across Asian countries: this week, Brazil remains on an easing path, while Taiwan is likely holding steady, supported by the AI-led growth boom and ongoing disinflation," added Emkay.

The Reserve Bank of India left the repo rate unchanged at 5.25% at its last meeting.

But the clamour for an interest rate hike at the October meeting is growing louder, especially after retail inflation in August rose to a multi-month high of 4.82%, driven by food

inflation. Plus, the rupee has weakened to ₹96 per dollar.

Amid this, Indian equities are feeling the heat. The MSCI India index is down 7.5% in 2026 but trades at a one-year forward price-to-earnings multiple of 17, a premium to peers in Asia and emerging markets, according to Bloomberg data.

BREWING TROUBLE

LOCAL currency weakness invites imported inflation, making the banks' inflation fight trickier

A renewed cycle by the US Federal Reserve means a stronger dollar and firmer bond yields

Mark to Market writers do not hold positions in the companies discussed here unless otherwise informed

India mulls central exam calendar to end recruitment chaos

FROM PAGE 1

tion, and clashing schedules, sparking uncertainty and raising travel costs. Beyond aligning dates, the new playbook focuses on improving coordination among agencies to cut chronic delays between examinations, results and issuing final appointment letters.

"The plans under discussion include a centralized dashboard that would talk to each other such as state governments, recruitment agencies and organizations engaged by them to conduct examinations. The system could collect and share real-time information on examination schedules, postponements, cancellations and other key updates," one of the two persons cited above said.

The hiring backlog across the bureaucracy remains significant. Central departments employed about 3.16 million personnel against the 4 million sanctioned posts, leaving around 850,000 vacancies, per the Department of Expenditure's FY24 report.

"The proposed dashboard would provide a single view of

recruitment examinations across agencies, helping identify potential scheduling conflicts and enabling agencies to coordinate dates before examinations are announced. It could also allow candidates and government departments to track changes more efficiently," the person added.

The scale of India's central recruitment operations is massive. The Union Public Service Commission (UPSC), Staff Selection Commission (SSC), National Testing Agency (NTA), Railway Recruitment Boards (RRBs), and the Institute of Banking Personnel Selection (IBPS) run large-scale recruitment drives annually. SSC alone conducted 20 examinations in 2024-25, with 20.5 crore candidates appearing, while the railway recruitment process saw about 45 million candidates take computer-based tests across the 2024 and 2025 examination cycle. The NTA, which handles both university entrance and recruitment tests, conducted 48 examinations for 8.01 million candidates in 2024.

The urgency for centralized coordination comes in the wake



The scale of India's central recruitment operations is massive. HT

of widespread scheduling issues throughout 2026. The UPSC delayed issuing the notification for the Civil Services Examination 2026 on 4 February, attributing the decision to "administrative reasons," before holding the preliminary examination on 24 May. Meanwhile, India Post was forced to postpone its Limited Departmental Competitive Examination (LDCEP) for postal assistants and sorting assistants (PA/SA) after its scheduled date directly clashed with the revised date of the National Eligibility-cum-Entrance Test (NEET-UG) 2026.

Meanwhile, the SSC has had to cancel and reschedule examinations at select venues following technical failures, including the Skill Test/Typing Test for affected candidates of the Combined Higher Secondary (10-12) Level Examination (CHSL). Its Constable (GD) examination also faced centre-level cancellations and rescheduling.

Similarly, Railway Recruitment Boards have been ongoing schedule adjustments. The Sec-

tion Controller Computer-Based Aptitude Test (CBAT), initially set for 24 May, was postponed, while several test centres for Non-Technical Popular Categories (NTPC), Assistant Loco Pilot (ALP), and Junior Engineer (JE) exams were rescheduled on operational issues.

"The objective is not only to fix examination dates but to make the entire recruitment cycle right from notification and examination to declaration of results and appointment more time-bound and predictable," the second person said.

While digital infrastructure exists, its reach is fragmented. The National Informatics Centre's (NIC) e-Pariksha platform offers recruitment management capabilities, but its coverage is limited to 10 agencies including the Uttar Pradesh Public Service Commission and Uttar Pradesh Subordinate Services Selection Commission, with no national dashboard.

"The recruitment system needs to be viewed in totality, with greater coordination among job seekers, recruiting organizations and other stakeholders. Such coordination can

help reduce the burden of multiple examinations and improve efficiency in recruitment," said a former SSC chairman, who wished not to be named.

The Department of Posts confirmed in an email that the LDCEP exam conflicted with revised NEET-UG 2026 dates: "It coincided with revised dates of NEET (UG) 2026... A common date was adopted to maintain uniformity across all 23 postal circles and to facilitate the smooth conduct of both examinations successfully."

Queries emailed on 15 September to spokespersons and leaders of the DoPT, UPSC, SSC, NTA, Railway Board, and IBPS went unanswered.

For millions of job seekers, a predictable exam calendar is critical to maintaining a fair and equitable hiring process.

"A predictable examination calendar is not just an administrative convenience for candidates; it is essential for a fair recruitment process," said Dilip Kumar, who heads Rashtriya Chhatra Eka Manch, an organization of public job aspirants.

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Nifty may recover post 2 yrs' underperformance: Anand Rathi's Azeez

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Indian equities may be due for a recovery after two years of underperformance, with historical returns and continued domestic institutional buying offering some support, according to Feroze Azeez, joint chief executive officer (CEO) at Anand Rathi Wealth Ltd.

"Mean reversion is favouring India," he said. He does not expect a sharp market correction unless both foreign institutional investors (FIIs) and domestic institutional investors (DIIs) turn sellers. Edited excerpts:

With the rupee weakening over the past few years, has currency diversification become a bigger consideration for HNIs and NRIs?

Yes, the rupee's recent depreciation has naturally brought currency diversification into the conversation, particularly for HNIs (High Net-Worth Individuals) and

NRIs (Non-Resident Indians). The rupee has historically depreciated by 3-4% annually, while in recent years the pace has been closer to 5-6%, so some mean reversion can be expected. But currency movement needs to be seen alongside investment returns. Indian equities have more than compensated for rupee weakness over the longer term, making India one of the more rewarding investment destinations on a real-returns basis. With the Indian economy

expected to grow at 6.4% in FY27, corporate earnings and financial assets have continued to compound in rupee terms.

Currency diversification makes the most sense when there is a specific future requirement in that currency. For example, if someone has a goal such as foreign education, overseas travel or any other expense in Australian dollars, US dollars or another foreign currency, then matching part of the investment to that currency makes sense. Otherwise, currency diversification sim-

ply for the sake of diversification may not be necessary. It should not come at the cost of reducing exposure to India's long-term growth story.

What is happening with HNI flows?

SIP (Systematic Investment Plan) inflows have remained very strong, staying in the ₹30,000 to ₹32,000 crore range, which shows that retail participation continues to remain healthy. On the lump-sum side, the flows have been more subdued, and based on the flow pattern, HNI participation in equities appears to have moderated in some months, including May and July. But HNIs have a lot more options today and there is a lot of distraction in this category. There is a growing push towards AIFs (Alternative Investment Funds), PMS (Portfolio Management Services) and other specialised products, often with the pitch that, "I will do it cheap. I will take a small advisory fee in future."

Where are HNIs actually looking for alpha when it comes to Indian equities—large caps or the broader



market?

HNIs have always chosen the broader market more when performance has been good, especially through AIFs, where they think they can buy smaller stocks than in the mutual fund market. If you have patience for four or five years, you can beat Nifty 50 or anything benchmarking itself to the Nifty by 2-3%. But I don't believe in buying it through an AIF, not at all, because there are quite a few disadvantages. The tax is a full-length problem. In a Category III AIF, the tax on

the gains is accounted for in the fund itself and is reflected in the NAV (Net Asset Value). So, an investor exiting the fund can end up bearing the tax liability on gains made during their investment period. That is an important disadvantage and needs to be understood before looking at AIFs purely for alpha.

Are HNIs becoming more tactical with Indian equities?

No. The confidence to allocate money in India and leave it there is far higher. If confi-

dence goes up, that market becomes a strategic allocation, not a tactical allocation. Volatility in Indian markets has come down significantly. Over the last 26 years, there have been only four to five years when Nifty had lower standard deviation than S&P 500. Nifty 50 volatility was 11.72% in 2025 compared with 18.65% for S&P 500, while in calendar

HNIs have always chosen the broader market more when performance has been good

Feroze Azeez
Joint CEO at Anand Rathi Wealth Ltd

What is the attraction towards fixed income and private credit?

Fixed income are investments such as bonds and G-Sec that provide a relatively predictable return, while private credit involves lending directly to businesses or individuals which is usually at a

higher interest rate than traditional fixed income. Fixed income is gradually losing some of its sheen in the wealth management industry because of the unfavourable tax treatment for HNIs. Private credit has gained attention because it offers higher yields. But the higher yield comes with higher credit risk, and that defeats the purpose if

fixed income is meant to provide stability to the portfolio. The purpose of a shock absorber is to absorb shocks, not to make the car go faster. The engine should be equity or real estate; fixed income should play a different role. A 13-14% return in private credit may look attractive, but the first question should be why the borrower is willing to pay that much. If banks and other traditional lenders were comfortable lending at a lower rate, the borrower would not need to approach a private lender at

13-14%. That additional return is compensation for taking additional risk.

How do you see India within the broader emerging-market and global investment basket?

Mean reversion is favouring India. After being among the worst performers for two years, mean reversion can work in its favour. Nifty's mean return is 14% and median return is 11%, while the probability of Nifty delivering more than its median return over three years is 80%. The key question for investors is whether they can benefit from this mean reversion and deliver 14 to 15% returns with lower risk. The other question is whether there is a catastrophe in the making. For markets to fall substantially, FIIs and DIIs need to be on the selling side. FIIs have been selling for long, but DIIs still have a large cash pile, so they are unlikely to become sellers. Mostly, after a two-year time correction in the Nifty, the next three years have always been positive.

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'Corporate borrowing must shift from banks to bonds'

A shift to bond market will help banks reduce direct lending exposure, says Kotak's Kashyap

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A large chunk of Indian corporate borrowing needs to shift from bank loans to the bond market, allowing banks to reduce direct lending exposure and churn their portfolios, a senior banker at Kotak Mahindra Bank said.

"In India, banks are still the primary source of capital for a lot of companies other than those rated AAA, AA-plus. We must move more to the capital market," Paritosh Kashyap, whole time director at Kotak Mahindra Bank, said in an interview.

For years, bankers and companies have discussed ways to deepen India's bond market, where 85% of issuances come from AAA-rated issuers. That is because long-term investors such as pension and insurance companies are barred from buying securities rated below AA. For those below that threshold, the bank lending market comes at a higher price given the higher risk associated with their ratings.

Kashyap, a veteran who has spent over three decades at the \$43-billion private lender, believes that banks must churn their portfolios, making loans or underwriting bonds and then downselling to others.

Kotak, he said, already has both traditional lending and debt investments depending upon market conditions, but he cautioned that any broad change in funding patterns will take time because it depends on stronger credit ecosystems, more mature borrowers and deeper capital markets.

Reported to be among the internal contenders for the chief executive role at the private lender, Kashyap said at Kotak Mahindra Bank, there is a practice of using credit substitutes, or invest-



Paritosh Kashyap, whole time director at Kotak Mahindra Bank.

ments in companies' debt issuances, to supplement credit. These investments stood at ₹43,291 crore, accounting for 7.6% of total customer assets in the three months through June, up from 6.9% a year ago. These added 100 basis points (bps) to the bank's Q1 FY27 (first quarter of fiscal year 2027) credit growth.

BANKS are primary source of capital for a lot of companies other than those rated AAA, AA-plus

BANKERS, firms looked to deepen bond market, where 85% of issuances are from AAA issuers

not have that obligation. Under Reserve Bank of India (RBI) regulations, banks must disburse at least 40% of their net loans to sectors such as agriculture, small businesses, and education.

"For us, that is more economical from a structural perspective and wherever possible, we make investments, and

THIS is because pension, insurance companies are barred from buying securities below AA

FOR those below that, bank lending comes at a higher price given the higher risk

"For us, it does not make a difference whether we are giving a loan to a corporate or investing in its commercial paper," said Kashyap.

He said that loans create an obligation to maintain priority sector lending. However, investment instruments do

wherever we cannot, we do more working capital, trade finance, and loans. We look at it collectively," said Kashyap.

As per Care Ratings, corporate bonds account for roughly 21% of the total debt market, underscoring the large presence of government securities and the

continued reliance on bank financing. In terms of economic size, the corporate bond market represents only about 16% of gross domestic product (GDP), substantially lower than China (36%) and the US (40%), it said in a note on 15 June.

However, he added that the journey towards deeper bond markets has begun. The capital markets and mutual funds are growing faster than before, although more money is in equities than in debt.

While outstanding corporate bonds stood at ₹60.6 trillion in July, total bank credit stood at ₹220.8 trillion, according to data from the Securities and Exchange Board of India (Sebi) and RBI.

The move between loans and credit substitutes is quite fluid at Kotak, said Kashyap.

"In May and June, when the risks of war were heightened, the capital market rates went up, and commercial papers were available at 7-8%. Companies won't borrow short-term loans from banks at those rates, and we consciously moved out of the loans and into the commercial paper market because it gave us a higher yield," he said.

Interestingly, Kashyap is likely to be among the candidates who could succeed chief executive officer (CEO) Ashok Vaswani when his term ends in December. Asked about his candidature, Kashyap said it was for the board and RBI to take a call on CEO selection, and that he would not like to comment.

In June, the bank said Vaswani, appointed CEO after founder Uday Kotak's term ended in September 2023, did not wish to seek re-appointment 'for personal reasons'.

The bank has seen a few other senior executive departures over the past couple of years. The latest after the CEO's announcement was the group president and head of commercial banking, Manish Kothari, who will step down on 30 September.

Defence, space lure ex-govt scientists, repeat founders

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Abhishek Nag, head of venture capital and co-head of 360 ONE Asset's defence and space fund.

India's push for defence indigenisation and the opening of its space sector to private players are prompting former government scientists and second-time entrepreneurs to launch ventures as the sectors gain momentum, according to a senior executive at investment firm 360 ONE Asset.

"The government has done a good job of publishing long-term technology roadmaps [and] specific projects that require innovation and IP (intellectual property) through things like the iDEX challenges," said Abhishek Nag, head of venture capital and co-head of the firm's defence and space fund, in an interview with *Mint*.

The company recently raised a ₹1,500-crore fund to back defence and aerospace businesses in India.

The government has been pushing for greater private-sector participation in defence manufacturing. Over the years, it has launched initiatives such as iDEX, ADITI and Make in India, besides earmarking 25% of the defence research and development budget for the private sector, to reduce import dependence.

iDEX (Innovations for Defence Excellence) is a ministry of defence initiative aimed at fostering indigenous innovation and technology development in the defence and aerospace sectors.

ADITI, or Acing Development of Innovative Technologies with iDEX, is a sub-scheme of iDEX and focuses specifically on high-risk, deep-tech and critical and strategic defence

technologies.

"Whether it's the armed forces or defence labs, they've been very open on their needs, how much they'll spend and what potential order values will be. As a result, customer discoveries are happening, what needs to be built is out there. It's why we're seeing a lot of founders gravitating towards defence," Nag said.

The push for indigenised defence has also seen more founders emerging from gov-

ernment departments and research divisions. A 360 ONE Asset portfolio company, Sisir Radar, was founded by a former Indian Space Research Organisation (Isro) official who headed its Innovations Management division.

Much of this is driven by their technical expertise and a clearer demand for defence technologies, creating more visible opportunities for entrepreneurs.

"Today, they have a high degree of tradecraft. They can also see gaps in the products they use or are able to find new use cases. This motivates them to step out of their organisa-

tions and start their entrepreneurship journey," said Bobby Simon, founder and president of Synergia Foundation, a strategic affairs think-tank.

Other examples of former government scientists setting up private ventures include the founders of Skyroot Aerospace, who previously worked at Isro, and the founders of Red Balloon Aerospace, who have worked at both Isro and Skyroot. Even anti-drone defence manufacturer Armory's founder Amarjeet Singh had previously spent time at listed drone maker ideaForge before leaving to launch his own venture.

Second-time founders are also entering defence and deeptech. ShareChat founders Farid Ahsan and Bhanu Pratap Singh, after leaving the social networking platform, launched robotics company General Autonomy and raised \$3.8 million earlier this year from Elevation Capital and India Quotient.

360 ONE Asset plans to invest in 15-20 companies, it had told *Mint* in January, when it announced a ₹1,000-crore fund focused on India's defence, aerospace and space-tech sectors, with an additional ₹500 crore greenshoe option.

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Casting vote can't prevail over 1:1 vote by trustees: Trusts

Varun Sood & Satish John
BENGALURU/MUMBAI

Tata Trusts on Sunday rejected the contention that an independent director's deciding vote could secure Tata Sons chairman N. Chandrasekaran's reappointment, saying the resolution had failed the moment one of its two nominee directors voted against it. The Trusts also said Tata Sons had earlier defended these same voting rights in the Cyrus Mistry case and won in the apex court.

The Trusts, which own 65.9% of Tata Sons, said the company's articles of association require the affirmative support of a majority of Tata Trusts-nominated directors for a board decision to pass. With one of the two nominees opposing the reappointment on Thursday, that condition was not met, it said.

"The Articles of Association (AoA) of Tata Sons do not leave any decision of the board to a majority of directors. They provide that no decision can be taken unless it has the affirmative support of at least a majority of the directors nominated by the Tata Trusts, who hold approximately 66% of the company. This is a separate condition under the AoA," said the statement.

"There are two Tata Trusts nominees on the board of Tata Sons. Majority amongst two is two and not one. On September 17, 2026, one such director voted against the resolution. Thus, the affirmative support of Tata Trusts nominee directors as mandated by the AoA



N. Chandrasekaran, Tata Sons chairman.

was not given. The condition failed, and so did the resolution," said Tata Trusts. "The chairman's casting vote is available only where there is equality of votes at the overall board level. It does not apply amongst Tata Trusts' nominee directors. Whether the result of the vote was 4:1, or any other figure, is irrelevant. A condition is either met, or it is not. In this case the condition was not met."

Tata Trusts said the resolution had failed the moment one of its two nominee directors voted against it

Srinivasan, supported it. Tata Sons's nomination and remuneration committee (NRC) chairman Harish Manwani then voted to help confirm Chandrasekaran's appointment despite Noel opposing the decision at the meeting, and later in his two letters and press releases from the Trusts. varun.ood@livemint.com For an extended version of this story, go to livemint.com.

The lawyer at the centre of the Tata Sons chair dispute

Tata Sons took the advice of Sudipto Sarkar, who has previously represented Tata companies

Varun Sood & Satish John
BENGALURU/MUMBAI

A legal opinion by veteran lawyer Sudipto Sarkar has emerged at the centre of the dispute over N. Chandrasekaran's reappointment as Tata Sons chairman, after Tata Trusts challenged the validity of the board's decision.

The Tata Sons board had Thursday approved Chandrasekaran's third five-year term after an independent director's casting vote broke a deadlock between the two Tata Trusts nominees on the board. Noel Tata, chairman of Tata Trusts, voted against the reappointment, while Venu Srinivasan voted in favour.

Noel has called the decision "illegal," arguing that Section 121 of Tata Sons' Articles of Association requires support of more than half the Trusts' nominee directors for the chair's reappointment. He submitted a 40-page legal opinion by former Chief Justice of India D.Y. Chandrachud to the board, which concluded a Tata Trustee's opinion couldn't be trumped by a casting vote. Tata Sons, however, did not consider Justice Chandrachud's opinion, per a statement by Tata Trusts. Instead, the company said it sought its own legal opinion on the appointment process from Sudipto Sarkar, a Kolkata-based lawyer, according to people familiar with the matter.

Sarkar is a senior corporate lawyer with over 50 years of experience. He is a board member of the non-profit organization that manages the Royal Calcutta Turf Club in Kolkata and has served on boards of the BSE, JSW Steel Ltd and EIH Ltd, which operates the Oberoi hotels.

It is unclear what position Sarkar took in his opinion to Tata Sons. An email sent to the company seeking



Sudipto Sarkar is a senior corporate lawyer with over 50 years of experience.

comment remained unanswered, and Sarkar himself declined to discuss the substance of his advice. "I am a private person and an English Barrister called in 1973. I rarely talk about my professional work to the press," Sarkar said in an email response to *Mint*. "According to the ethics of the English Bar that I am

Sons' board: "If the articles provide that a resolution shall not be validly passed unless it commands the affirmative vote of a specified majority of a particular class or group of directors, a casting vote exercised by the chairman cannot supply that missing affirmative vote." "This is consistent with the well-set-

OPINION CLASH

TATA Sons did not consider Justice Chandrachud's opinion which Noel had submitted

INSTEAD, Tata Sons sought its own legal opinion on the appointment process from Sarkar

CHANDRACHUD concluded that Tata Trustee's opinion couldn't be trumped by a casting vote

IT is unclear what position veteran lawyer Sudipto Sarkar took in his opinion to Tata Sons

aware of, barristers don't talk to the press, certainly not about ongoing matters. In any case my opinion was confidential and I don't think was disclosed outside the Board before the meeting was held," he added.

This is what Justice Chandrachud said, as shared by Tata Trusts with Tata

tled principle that a casting vote cannot be used to create a majority where none exists under the governing provision, or to defeat a veto right held by a particular constituency of directors," said Chandrachud in his opinion, taken by Tata Trusts sometime in 2026, said an executive privy to the development.

On Sunday, Tata Trusts said there was no tie after its two trustees voted differently on the reappointment. "A casting vote cannot revive a stillborn resolution," said Tata Trusts. "The affirmative support of Tata Trusts nominee directors as mandated by the AoA was not given. The condition failed, and so did the resolution."

Sarkar studied law at Jesus College, Cambridge, where he earned a BA and MA, followed by an LL.B in International Law. He was called to the English Bar in 1973 through Gray's Inn, one of London's four historic Inns of Court. He is also an associate member of Six Pump Court, a set of barristers' chambers in London's Temple district.

Alongside Senior Advocate Arvind Datar, Sarkar is the chief editor of the latest edition of *A. Ramaiya, Guide to the Companies Act*, a key reference work on company law used by lawyers and judges in India. Sarkar comes from a Calcutta legal family whose name has appeared on Sarkar's Law of Evidence since 1913. He is the fourth generation to edit the book, Datar said.

Describing Sarkar as "a very fair counsel," Datar also called him "very courteous" and "a thorough gentleman". Sarkar previously had a busy corporate law practice and appeared in several major cases before the Company Law Board, Datar said.

Sarkar's professional involvement with Tata extends to several significant legal matters. In May, Sarkar represented Tata Motors in proceedings before the Calcutta High Court relating to an arbitration award; he earlier represented Tata Steel, with Abhishek Manu Singhvi and Rajiv Nayar, in the Bhushan Power and Steel case. And now, the Tata dispute places his legal advice in the spotlight. varun.ood@livemint.com

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Dipak Sanghavi, MD and CEO, Nilon's.

Nilon's eyes stake sale at up to ₹1,200 cr valuation

FROM PAGE 1

Nilon's and O3 Capital remained unanswered.

The founding family holds close to a 20% stake in the company, while the rest is held by the funds, enterprises, and other angel investors, including Banyan Tree Capital, Spark Midas Investment Fund, and London-based entrepreneur Kirit Pathak, among others.

Founded in 1962 by Suresh Sanghavi, Nilon's India has grown into one of the country's fastest-growing processed food companies, offering an extensive range of high-quality products. It is currently led by Dipak Sanghavi, who has steered the company's journey from ₹8 crore to more than ₹450 crore within a decade and a half, according to the company's website.

Nilon's, which began as a pickle company, has transformed into a food solution company with products such as cooking pastes, Chinese range, ready-to-cook mixes, pastas, instant mixes, jams, ketchup and sauces, *sewaiyan*, chutney and breakfast cereals. Its presence has expanded across 400,000 retail outlets in India with over 13 depots and 3,000 distributors.

The company has manufacturing plants in Maharashtra and the North-East, and its products are exported across markets including Japan, France, the US, South Africa, Dubai, Singapore, Malaysia, Australia, and Canada.

Nilon's Enterprises, the legal entity, posted a nearly flat net profit of about ₹1.5 crore in FY25, showed data sourced by business intelligence platform Toller from the ministry of corporate affairs.

Nilon's main competitors in the Indian processed food and condiment market are Mother's Recipe (acquired by Desai Brothers Ltd), Priya (part of Ushodaya Enterprises), Pachanga Foods, and Capital Foods. It may also compete with Kissan, Dabur and Cremica across some overlapping segments.

India's \$100 billion packaged food and beverage market is projected to expand to about \$150 billion by 2030, as per estimates from market research firm Redseer.

The growth is driven by changing consumer values, urban lifestyles, and the rise of quick commerce, converging to fundamentally alter what Indians eat and where they buy it.

Noel challenges mode of Chandra's reappointment

FROM PAGE 1

of the company were assured that the matter remained conditional and unresolved, is irresponsible and carries the plain potential to mislead the shareholders, the employees, the lenders and the wider market," Noel wrote to Suprakash Mukhopadhyay, Tata Sons group company secretary.

At the heart of the matter are two key articles in Tata Sons articles of association. While Article 118 specifically governs the selection of chairman, Article 121 covers broader strategic matters.

In his letter, Noel denounced the entire reappointment as illegal from the start.

The letter also reminded that at the board meeting, he had pointed out that Article 118 is the right instrument, which was used in 2022 to reappoint Chandrasekaran; however, Mukhopadhyay insisted that it was under Article 121.

"At the outset, I record that I maintain that the vote taken on the captioned matter, and the entire process followed by the company in relation to it,

was contrary to the Articles of Association of the company, and that any resolution claimed to have been passed is null and void ab initio (a term in Latin, which means void from the beginning) and of no legal relevance, efficacy or effect whatsoever," said Noel.

In his letter, Noel said Tata Sons used a different method to reappoint Chandrasekaran four years earlier. After the company secretary denied it at the meeting, Noel attached the minutes of the 11 February 2022 meeting to make his case.

"As those minutes record, that reappointment of chairman was effected under Article 118 of the Articles of Association," Noel wrote, sharing the minutes.

"That is precisely the position I stated, repeatedly, at the meeting held on 17 September 2026, and which was disputed by you".

"It is thus clear that for reappointment of chairman, the operative provision is Article 118. This material was plainly relevant to the vote taken on 17 September 2026 and was not placed before the board, which proceeded without it and at considerable



In his letter, Noel denounced the reappointment as illegal. *MINT*

speed," he wrote.

Noel's second letter, sent after his first on Friday, focuses on two main points.

First, he says the Tata Sons board agreed to get a legal opinion to answer three questions: whether Article 118 applies to the chairman's reappointment, whether the decision could be approved even though he opposed it, and whether the chairman's deciding vote could break a tie.

Besides Chandrasekaran, Noel and Srinivasan, the six-member Tata Sons board also

includes group chief financial officer Saurabh Agrawal and independent directors Harish Manwani and Anita Marangoly George.

Tata Sons board did not consider the legal opinion from former chief justice of India D.Y. Chandrachud, presented by Noel.

Justice Chandrachud's opinion clearly says that only the majority of Trusts nominees on the board can choose the chair of Tata Sons.

The Tata Sons board, instead, resorted to an opinion from another lawyer,

Sudipto Sarkar.

Mint could not independently confirm why Sarkar believed that a vote from nomination and remuneration committee chair Harish Manwani could break the tie.

Sarkar declined to offer a comment. An email sent to Tata Sons seeking comment went unanswered.

Second, Noel says the Tata Sons' board agreed that shareholders would need to approve Chandrasekaran's reappointment as director at a properly held annual general meeting.

"It was further expressly agreed at the meeting that nothing would be disclosed to the public in relation to this matter unless and until both of the above conditions had been satisfied," Noel wrote.

He also asked the company to ensure that none of the discussions from Thursday's board meeting is deleted or changed, and that they are recorded and shared with all board members.

On Sunday, Tata Trusts

said there was no tie after its two trustees voted differently on the chairman's reappointment.

"A casting vote cannot revive a stillborn resolution," said Tata Trusts.

"The affirmative support of Tata Trusts nominee directors as mandated by the AoA was not given. The condition failed, and so did the resolution".

Separately, a Tata Trusts spokesperson told *Mint*, "the Tata Trusts have consistently maintained that the resolution to re-appoint Mr Chandrasekaran post the expiry of his current term was a legal nullity. The board exercised powers which it did not have as per its own Articles of Association. It required the affirmative vote of a majority of the Trust nominee Directors, a requirement which could not have been overridden by a casting vote, illegally exercised by the chairman, Mr Harish Manwani. It is even more intriguing that in the exercise of this illegal vote,

the Tata Sons board, while giving a go-by to their own AoA, chose to rely on the opinion they obtained from a Calcutta-based lawyer, refusing to even take on record the opinion from the former chief of India, Dr D.Y. Chandrachud".

"It is factually correct that at the time of re-appointment of Mr Chandrasekaran in 2022, the same was done under Article 118, a fact which Mr Tata repeatedly emphasized and which was wrongfully denied by the company secretary, Tata Sons, who kept saying it was under Article 121," the spokesperson said.

"Tata Sons' board has violated the basic governance principle of shareholder supremacy," Institutional Investor Advisory Services (IIAS), a proxy advisory firm, wrote in a note on Friday. "The mutiny of the board against the controlling shareholder is possibly a first, and not the right precedent for corporate India. Will corporate India now have a set of independent directors making decisions that the promoter does not agree with?" varun.ood@livemint.com

Industry has to follow the consumer, it has no choice: FSSAI chief

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India's food safety regulator is widening its net beyond traditional food businesses to e-commerce platforms, quick-commerce dark stores, and areas in and around schools.

The Food Safety and Standards Authority of India (FSSAI) is looking at tighter scrutiny of online food businesses, clearer information for consumers, warning symbols on packaged foods, tighter controls on claims made by companies and stronger enforcement by state food-safety authorities, its chief

executive officer Rajit Punhani said in an exclusive interview with *Mint*.

FSSAI also aims to empower consumers as more food purchases move online and complaints rise. The regulator now gets 5,000-6,000 consumer complaints a month, up from about 1,000-1,500 earlier.

The rapid expansion of online food commerce has created a new enforcement challenge, Punhani said. "A consumer buying from a dark store or cloud kitchen cannot physically inspect the premises or pick up a packet to read its label. Dark stores and cloud kitchens will be routinely inspected to ensure they follow all hygiene and sanitation

guidelines," he said. "The same principle will apply to information available online on food items. If a buyer goes to a shop, they can see the front and back of a label. That information needs to be available online: its manufacturing date, expiry date, batch number, etc.," he added.

FSSAI's labelling rules already require food businesses selling through e-commerce to provide prescribed information to consumers, wherever applicable. Its focus is now also on how effectively that information is presented in the digital environment.

"There will be more digital tools like QR codes for consumers to know what's exactly



Rajit Punhani, chief executive officer of the Food Safety and Standards Authority of India.

inside what they are consuming," he said. "We have urged brands to put QR codes on their products. Eventually, there will be apps where con-

sumers scan the QR code, and artificial intelligence can tell them, according to their requirements, if they should have that product or not."

"Industry has to follow the consumer; they don't have a choice," he said.

Another major change is expected on the front-of-the-pack labels, where the FSSAI is working towards warning symbols linked to levels of sugar, salt, and added fat.

Food firms must clearly tell consumers what they are buying, without potentially misleading claims such as "healthy", "100%" or "energy drink".

The regulator's enforcement push has covered pack-

aged foods, beverages and food-service businesses, with about 150 notices issued to major fast-moving consumer

goods companies, alcohol companies over miss-labelling and false claims.

Punhani said 90% of companies that got such notices have either changed their labels or are in the process of doing so. Some have challenged the FSSAI's position in court, while others have sought time.

The regulator has also suspending licences of food out-

lets and issued notices to major quick-service restaurant chains over food-safety and hygiene issues.

It is also tightening rules for food sold and promoted in and around schools. It has already proposed the Draft Food Safety and Standards (Safe Food and Balanced Diets for Children in School) Amendment Regulations, 2026, covering foods high in added fat, added sugar or sodium on school premises, including restrictions on their sale and promotion. Schools will, thus, be placed alongside e-commerce as a key consumer-facing area for regulation.

For an extended version of this story, go to livemint.com.

TIGHTER SCRUTINY

FSSAI aims to empower consumers as more food buys move online and complaints rise

IT receives 5,000-6,000 consumer complaints a month now, up from about 1,000-1,500 earlier

sought time.



Infosys turns to Majumdar to head a key business unit

IT services firm appoints veteran exec to lead its services, utilities, resources and energy arm

Jas Bardia
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BENGALURU

Infosys Ltd has handed its \$2.7-billion services, utilities, resources, and energy (SURE) business to veteran Mitrankur Majumdar, filling the seat vacated by CEO-designate Ashish Kumar Dash in arguably the firm's first big rejig since Dash's elevation less than two months ago.

Majumdar, who is based in Richardson, Texas, has been in the firm for more than 28 years and stepped into his new role late last month, according to the company's and Majumdar's social media handles.

This marks the first major organisational change at India's second-largest information technology services firm since it announced Dash as its chief executive officer (CEO) designate on 23 July. This also comes at a time when the rise of automation tools is calling into question the relevance of the country's largest tech services firms.

Dash has big shoes to fill when he takes over from Salil Parekh in April, bringing an end to Parekh's tenure of over nine years at the top. Parekh's tenure has been marked by stability, an influx of large deals valued at more than \$1 billion, and a doubling of the company's annual revenue to \$10 billion.

For now, Majumdar will step into the shoes of Dash, who headed the services, utilities, resources, and energy (SURE) segment for a little over seven years. "Across SURE, industries are being



Mitrankur Majumdar has worked with Infosys for more than 28 years.

reshaped by AI, data, cloud, new operating models, and rapidly changing client expectations. Mit's (Majumdar's) experience in business transformation, strategic AI partnerships and building growth across diverse markets positions him strongly to lead this next

around \$2.69 billion, or a little over a tenth of the firm's annual business, from companies in the SURE segment. Infosys ended last year with \$20.16 billion in revenue, up 4.6% year-on-year. Its business in this segment grew 4.7% from the preceding fiscal, broadly in

Dash took over as its segment head in April 2019. The segment grew at a compounded annual rate of 8.87% between April 2019 and March 2026, making it the third fastest-growing vertical. Infosys reported a compound annual growth rate of about 7.95% during this period.

"This is the right strategy in the current scenario when there is a disruption risk in the industry because of AI. A new person would not have had much visibility on how the company is running. This move accelerates stability that was already there in a fast-growing segment," said Amit Chandra, vice-president at HDFC Securities.

Majumdar joined the company as a software engineer in November 1997 and moved up the ranks over the years. He last served as the industry head of the services segment in the Americas, shows the firm's FY26 annual report.

A second expert said Majumdar was "very easy to engage with."

"From my interactions with Mit, I have always found him thoughtful, grounded and very easy to engage with. He is not someone who needs to dominate the room, but he understands clients, listens carefully and gets quickly to the business issue. He also has the technical grounding to connect what is happening with AI, cloud and data to the operational realities clients are dealing with," said Phil Fersht, chief executive of HFS Research, a Massachusetts-based IT advisory firm.

For an extended version of the story, go to [livemint.com](#)

Premium content is finding a new lease of life on YouTube

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The partnership between Ekta Kapoor's Balaji Telefilms and YouTube, to launch five original shows, spanning 200 episodes, is a clear indication, say entertainment industry experts, that content creators are choosing the video platform for its wider reach and growing influence over subscription-based streaming services.

Producers and content creators are placing greater value on intellectual property, with YouTube offering them a way to retain content ownership while generating revenue through advertising, sponsorships, and brand partnerships, so they do not have to give up their rights under traditional licensing deals. While Balaji's recent partnership is a good example of this, other creators, such as Samay Raina, are simulcasting shows on YouTube and on rivals like Netflix.

The platform's massive reach, growing connected-TV audience and discovery tools are attracting studios and independent creators, particularly those with established fan bases, regional appeal and strong sharing potential.

"By launching natively on YouTube, partners like Balaji Telefilms can retain ownership of their IP while tapping into our massive Connected TV reach, with over 75 million adults in India alone, and unlocking new monetization pathways from ads to brand integrations," Gunjan Soni,



Balaji Telefilms and YouTube will launch five original shows, reflecting creators' growing interest in the video platform. MINT

managing director - India, YouTube, said. Balaji's YouTube slate includes shows such as *Hag Se* and *Kehke Ko Humsafar Hai*, which are moving from other platforms. Rajesh Sethi, partner and leader—media, entertainment and sports, PwC India, said shifting web shows from paid OTT platforms to YouTube

extends the shelf life of content that might otherwise go stale behind a paywall. "Once a show has earned its subscription-led revenue on a paid platform, moving it to YouTube helps producers tap into ad revenue from a much larger global audience, including viewers who may not pay for subscriptions," Sethi said.

For the right kind of IP, YouTube can grow viewership and reach by removing the subscription barrier and adding discovery through recommendations, search, sharing

and short-form extensions, experts said. Hemant Kaul, partner and leader, research and insights, BDO India, said that Samay Raina's *India's Got Latent* is a strong example. Its Season 2 premiere crossed 45 million public YouTube views within four days, while Netflix's official Top 10 data reported 2.2 million views.

The numbers are not directly comparable because the two platforms measure views differently, but directionally, the gap shows how much wider consumption can be when content is available freely, Kaul said.

"A key shift is the growing importance of connected TV as a living-room experience, which is changing the way of digital content consumption," said Saurabh Srivastava, chief operating officer, digital business, Shemaroo Entertainment Ltd. For an extended version of this story, go to [livemint.com](#).

FMCG firms to hold prices despite rising commodity costs

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Fast-moving consumer goods (FMCG) companies are likely to hold prices through the festive season despite a rise in commodity prices, including sugar, and the impact of geopolitical disruptions, as they seek to protect consumer demand and maintain volume growth amid improving consumption.

Leading industry executives said companies have gone for judicious increases of around 2-5% in the June quarter to partly offset higher input costs and are unlikely to raise prices further before the end of the festive season, even as margins remain under pressure.

The sector has been facing renewed cost pressures, with sugar prices touching a new high, alongside a sharp increase in costs of key inputs such as edible oils, coffee, cocoa and crude oil derivatives used in packaging, amid geopolitical disruptions and supply concerns in global markets. While most companies have absorbed a significant part of the inflation through cost-control initiatives and portfolio management, they remain focused on protecting volume growth, even as pressure on margins remains elevated, industry executives said.

ITC chief executive officer, Foods Division, and executive director Hemant Malik said the company would maintain prices through the festive season despite cost inflation. "We are attempting to hold prices," Malik said, noting that the companies have already been absorbing a large part of the increase in commodity prices through cost management initiatives and portfolio actions.

Referring to the impact of the GST rate reduction on several consumer products last year, Malik said the move had led to buoyancy in volumes across multiple categories and



FMCG firms may revisit pricing in the third or fourth quarter if inflation persists. MINT

supported market demand. However, Malik also indicated that companies may have to revisit pricing decisions later in the financial year if cost pressures persist.

"Maybe in quarter three or quarter four, we will have to look at some corrections on prices," he said, adding that most FMCG firms have so far implemented only modest price hikes of around 3-5% despite facing much higher cost increases.

Home-grown FMCG major Dabur India, which has also gone for calibrated pricing actions on select products to partly mitigate input costs, is watching the situation. "We

have taken up prices on a few products over the past few months to partly mitigate the inflationary impact due to the geopolitical situation, while keeping the competitive intensity

in mind. Going forward, we will be closely watching the situation as it develops," said Dabur India CFO Ankush Jain. Parle Products Chief Marketing Officer Mayank Shah said most FMCG firms may hold prices at least till Diwali, citing strong demand across urban and rural markets and a recent easing in sugar prices. "Most companies would probably be holding the price right now. They will not increase prices because of the festive season. Nobody would like to disrupt demand," Shah said.

Companies implemented calibrated price increases of 2-5% in June quarter to partly offset higher input costs

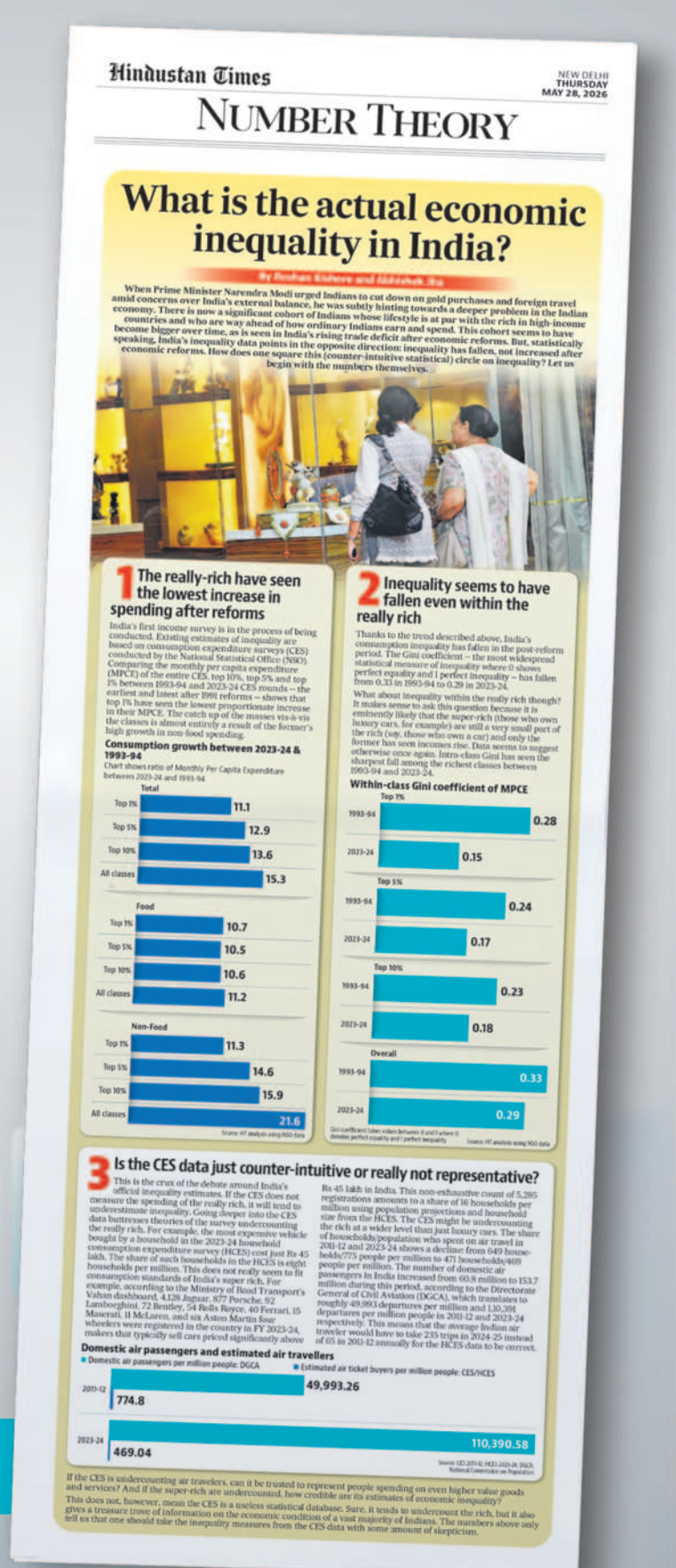
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Refineries are the chokepoint for global energy supplies now

The Iran and Ukraine wars have exposed the world's reliance on the Middle East and Russia for diesel

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Persian Gulf states and Russia have invested tens of billions of dollars in refineries over the past decade to grab a bigger share of the global diesel market. Now, war in both regions has sent exports plunging, squeezing supplies of a fuel that powers much of the global economy.

Diesel prices are soaring—they eclipsed \$6 a gallon in the U.S. for the first time last week and have kept climbing, hitting \$6.45 on Friday. The surge has rattled governments and markets around the world that rely on diesel as the workhorse of their industry, transportation and agriculture. Shortages have appeared at gas stations in rural Brazil, in Libya and some African nations that can't afford to import the fuel.

The Iran and Ukraine wars left the U.S. as the producer of last resort for diesel and other refined products, but momentum is now growing to ban exports of the fuel to lower prices ahead of the midterm elections. Rep. Tim Burchett (R., Tenn.) introduced a bill this week to ban exports. Senate Majority Leader John Thune (R., S.D.), said he was open to the idea.

A U.S. ban would likely send prices for the rest of the world soaring—and potentially push other big diesel exporters such as China and India to follow suit. Russia has already sharply restricted exports because of damage to its refineries caused by Ukrainian drone strikes. China has limited its refinery exports, while India has imposed an export tax on diesel and gasoline.

President Trump has blamed Ukraine's attacks on Russian refineries for causing most of the disruption, saying this week that "the World's Diesel price rise is mostly caused by the Russia/Ukraine War, not Iran."



President Trump has blamed Ukraine's attacks on Russian refineries for causing most of the disruption.

AFP

In fact, the diesel blocked in the Persian Gulf is around three times as large as supplies missing from Russia compared with before the Iran war, according to data compiled by the International Energy Agency.

The market for refined fuels is global. Products are transported on huge tankers around the world, much like crude oil. Before the Iran war, Middle East refineries tended to ship to Asia and Europe. U.S. refineries exported large quantities of diesel to Europe, while European refineries often exported gasoline to the U.S. Russia sold diesel to Turkey, India and China.

The squeeze on the Strait of Hormuz and the Ukraine war have short-circuited those trade flows. Kuwait, the United Arab Emirates and Iraq have been forced to slash diesel exports. The escalation of Houthi attacks in recent weeks has limited Saudi Arabia's exports from its Red Sea refineries, hitting the country's main route to bypass the Strait of Hormuz.

The disruption has been compounded by Ukraine's increasingly successful attacks on Russian refineries, which have nearly halted exports. The difference between the price of crude and the price of diesel in many markets also hit a record high.

"We are seeing the emergence of a tighter diesel market than we've probably seen in any previous period," said David Martin, senior oil market analyst at the IEA.

The U.S.-Israeli attack on Iran in February came after a decade of major refinery construction in the

Middle East led by the region's national oil companies. Kuwait National Petroleum Company built one of the world's biggest oil refineries at Al-Zour. The U.A.E. boosted capacity at its Ruwais refinery and Iraq opened a new refinery at Karbala. Saudi Aramco built two refineries near the Red Sea.

The projects more than doubled diesel exports from the Middle East between 2017 and 2025, when the region accounted for 19% of global exports and jumped ahead of North America as the world's top diesel exporting region.

Russia has also expanded its diesel production, not by building new refineries but by upgrading existing ones. Exports rose by one-third between 2017 and 2023, when

Ukraine began to take out Russian production with its drone attacks. The major refinery investments have had a knock-on effect: They put pressure on refining margins across the U.S. and Europe. Western oil companies haven't built new refineries in nearly 30 years, while more than a dozen facilities across the U.S. and Europe have shut down since 2015.

When national oil companies built the refineries, return on investment was a secondary concern, said Alan Gelder, senior vice president of refining, chemicals and oil markets at the consulting firm Wood Mackenzie. Governments paying for them were more interested in providing employment and assuring fuel security.

"We've seen the oil majors effectively reduce their exposure to that sector because the returns on actual capital employed have been poor," Gelder said. "The classic phrase we used was: 'How do you make a small fortune? Take a large fortune and build a refinery.'"

Refineries in the West have been running near capacity and shifting to diesel production, away from other refined products such as gasoline and jet fuel. That hasn't done much to fill the gap left by the Middle East and Russia.

China is the one country outside the Middle East and Russia that has significant spare refining capacity. Yet its refineries have limited their crude oil purchases and avoided running their facilities at full capacity. Gelder said the reason for that could be that China, the world's largest crude importer, wants to avoid driving up the price of crude.

"I think there's an element of energy security, energy resilience," Gelder said. "That's probably in aggregate better for them overall rather than allowing their refineries to chase that margin in the export market."

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The Gazprom refinery in Moscow that Ukraine hit in an attack had a processing capacity of about 245,000 barrels a day. REUTERS

Russia says refinery hit in largest drone attack by Ukraine

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The Moscow Oil Refinery was hit during drone attacks that were part of the largest overnight Ukrainian barrage this year, as Russia entered the final day of voting in its parliamentary elections. Russia's defence ministry said it downed 1,110 Ukrainian drones across 19 regions of Russia as well as in Crimea, which the Kremlin annexed in 2014. That's the largest overnight total reported so far this year, eclipsing the previous high of 822 in August.

The ministry said its air defenses brought down eight Ukrainian Flamingo missiles and 1,951 drones over the past day, the *Interfax* news service reported. Several drones struck the territory of the Moscow refinery, damaging a facility at the site, Mayor Sergei Sobyenin said, without elaborating. Nobody was hurt and emergency services were working at the scene, he said in a post on Telegram.

Oil producer Gazprom Neft PJSC owns the refinery, located about 25km from the Kremlin. It has a processing capacity of about 245,000 barrels a day and is one of the key fuel suppliers for the capital region. The refinery's AVT-6 primary crude oil distillation unit, the integrated crude oil processing unit and the isomerization unit were hit during the attack, and large fires were recorded at the facility, the Ukrainian General Staff said in a post on Facebook. Gazprom Neft's press service didn't immediately respond to a request for comment.

Two people died and 20 were injured in drone strikes in the Moscow region, Governor Andrey Vorobyev said on Telegram. Ukrainian President Volodymyr Zelenskyy said that a Pelican ballistic missile was involved in the attacks, the first publicly confirmed combat use of the system. Its manufacturer Fire Point puts the missile's range at only 200km on its website, though, and it was unclear from Zelenskyy's post what part it played and where. The strikes on the Moscow area, including on the refinery and a logistics center, had "very significant impact", Zelenskyy said on X.

Two people died and 20 were injured in drone strikes in the Moscow region, Governor Andrey Vorobyev said

Crypto blew its big moment—and the blame game has begun

Dylan Tokar, Kevin T. Dugan & Vicky Ge Huang

Sen. Angela Alsobrooks was wrapping up her holiday break this January when she noticed a message on her phone. It was a voicemail from Coinbase Chief Executive Brian Armstrong, and it was about three minutes long.

The Maryland Democrat was a key negotiator over a landmark bill meant to usher digital assets into wider use. The two had been talking for months. When conversations with Alsobrooks and other lawmakers grew tense, the CEO could speak in a tone that some people working on the bill felt was inappropriate when talking to U.S. senators.

Armstrong, crypto's highest-profile advocate on the Hill, admonished the senator for changes she was pushing that could have hit the brakes on Coinbase's ability to pay interest-like rewards on digital tokens. Banks, fearing it would lure away customer deposits, were fighting furiously to ban the practice.

His message to the senator in the voicemail, according to people familiar with it: If you give banks an inch, they will take a mile.

Less than two weeks later, the Coinbase CEO shocked his own industry by pulling his support for an early version of the bill just as it was poised to advance. "We'd rather have no bill than a bad bill," he posted on X before a key Senate vote on Jan. 15.

That bill, called the Clarity Act, collapsed this week after months of protracted negotiations when senators officially voted it down. It marked a spectacular choke by an industry that had just recently begun reveling in its new lobbying clout, with President Trump in its corner.

The blame game began immediately. Some crypto executives and lawmakers pointed to Democratic resistance after Trump's massive crypto profits, disclosed in June, raised fresh ethics concerns about the president's businesses. The war in Iran, inflation and the backlash against data centers and rogue artificial-intelligence agents all became bigger priorities for lawmakers as 2026 dragged on. Others said the industry squandered its chance to close the deal earlier in the year, before any of those forces gathered steam.

Armstrong, the CEO of the largest U.S. crypto exchange, was at the center of it all and exercised the crypto industry's sway over the bill as its de facto leader in the Washington fight. Few other people, aside from Trump, had as much influence as Armstrong, according to people involved in the negotiations. He visited Washington 13 times from the 2024 election to the September vote, and his lobbying team for months held multiple weekly calls with industry members to discuss tactics on the bill, an extraordinary level of engagement for the company and its CEO.

The 43-year-old billionaire could effectively veto portions he didn't like—and he did, the people said, frustrating an already complex process. Some in the industry backed his hard-line stance. "We had a lot of momentum in January," said Brad Garlinghouse, CEO of Ripple, which supported the bill. "Then one group in our industry kind of shot ourselves in the foot."

Coinbase has said Armstrong's decision to pull his support in January was in the best interest of the crypto industry, and that it had identified multiple parts of the bill that were problematic. "We repeatedly took compromises in order to keep the coalition together and move the legislation forward," said Faryar Shirzad, Coinbase's chief policy officer, in a statement.

A power broker emerges

Armstrong, who co-founded Coinbase in 2012, emerged in 2024 as a major political fundraiser and donor for Republicans, helping make crypto a constituency to be reckoned with.

After Trump's inauguration, Armstrong quickly carved out a role for himself lobbying on crypto legislation. His first test was the Genius Act, a bill to regulate stablecoins—a type of digital asset pegged to real-world currencies, like dollars. The Coinbase chief cut a striking figure, bald and dressed in navy suits, when he visited lawmakers on Capitol Hill to push for the bill.

It ended up garnering significant Democratic support, and Trump signed it into law last summer. It was a major victory for the industry, and showcased Armstrong's new status as a crypto power broker.

Then came the Clarity Act. The bill was intended to be a sister to Genius, but far more ambitious in scope, addressing crypto's many subindustries. After facing regulatory crack-downs and prosecutions during the Biden years, crypto companies wanted a permanent framework on the books to ensure they could roll out new products without fear that when the political winds changed, bureaucrats would come down hard on them once again. A new law would also move crypto further into the mainstream of the financial system.

For the banking industry, it was another chance to stamp out a feature of the crypto ecosystem it viewed as akin to paying interest on deposits—and a competitive threat. Stablecoin issuers were already banned from paying yields on their tokens, but banks also wanted to stop partnerships they felt got around the prohibition.

Coinbase provided the most high-profile example. The company has a lucrative revenue-sharing agreement with Circle, issuer of the popular USDC stablecoin, based on the amount of USDC on its exchange. Separately, Coinbase recently advertised rewards of 3.75% annually for USDC.

The banking industry's advocates argued that arrangements like Coinbase's could lead to a massive deposit flight, jeopardizing their ability to lend and keep the economy humming. As discussions over Clarity ramped up, Armstrong became an aggressive opponent of restrictions that would prevent Coinbase from continuing its rewards program. When negotiations grew difficult, he could become inflexible, leaving even the bill's staunchest allies in the Senate feeling slighted, people involved in the process said.



Coinbase CEO Brian Armstrong was at the center of a protracted fight over the role of digital assets in mainstream finance. REUTERS

Armstrong didn't hesitate to bypass congressional staff or speak sharply to senators—including ones who were ultimately trying to help him pass the Clarity Act, the people said. The fight over stablecoin yields blew into public view in January. A messy early attempt at drafting the bill had left Armstrong and others unhappy with Clarity's direction, according to people involved with the negotiations.

In a statement, Coinbase's Shirzad said Armstrong's strong relationships with senators on both sides of the aisle, and that he approaches those conversations with respect. "These were high-stakes negotiations and there were certainly moments of disagreement, but disagreement should not be confused with disrespect," he said in the statement.

A spokeswoman for Alsobrooks said she doesn't comment on private conversations, but has had positive and productive conversations with Armstrong and other digital asset and banking leaders. "Senator Alsobrooks' goal remains regulating this billion-dollar emerging technology," the spokeswoman said.

A 15-page peace offer

Soon after the Senate committee vote was scrapped, Armstrong was on TV, accusing banks of giving away consumer deposits without their consent—a reference to their long-established lending practices. His remarks angered top Wall Street executives. At the World Economic Forum in Davos later in January, JPMorgan Chase's Jamie Dimon stuck a finger in Armstrong's face and called him "full of s—."

The *Wall Street Journal* reported. The ensuing hard feelings led to five months of negotiations over stablecoin rewards. Some in the crypto industry began to feel they were losing ground on more central matters.

In May, Sens. Alsobrooks and Thom Tillis (R., N.C.) announced a compromise that wouldn't flat-out ban rewards on stablecoins, but would force Coinbase to change its program. Armstrong signed off on it, with the company saying it was a significant concession. The banking industry said it didn't go far enough.

Senate negotiators turned to a slew of outstanding issues. Securing at least a handful of Democratic votes was key to the bill's passage. In late June, Republicans made a push to re-engage with their counterparts, presenting Democrats on the Senate Agriculture Committee with a 15-page list of potential compromises, according to people familiar with the negotiations. By the next day, Democrats said they were ready to accept many of the proposals, the people said.

Then Armstrong objected. Republicans were forced to shelve a number of their proposals after learning the Coinbase CEO didn't support some of them, the people said. Democrats were flummoxed.

Shortly after, the politics around the bill became far more fraught. Trump revealed \$1.4 billion in income from his family's meme coin and crypto businesses in 2025, an unprecedented windfall for a U.S. president. Democrats pounced on the disclosure as an issue to hammer home heading into the midterms. They also doubled down on ethics provisions in the Clarity Act that would ban public officials from owning crypto, and wanted it apply to Trump and his family, so that the president and his sons would be forced to divest themselves from their vast crypto holdings.

The Trump factor

By late summer, the Clarity Act had sprawled to more than 600 pages. Republicans and Democrats were growing increasingly frustrated with the process and the number of negotiators on both sides of the aisle, according to people familiar with the negotiations. The banking industry used the time to chip away at the bill, with community bankers traveling to Washington to speak with their representatives about what they viewed as an existential threat.

Meanwhile, Senate aides in both parties were exasperated with the crypto lobby and especially with Armstrong and his team, who continued to wield their influence to extract concessions they viewed as good for Coinbase and the industry. Talks got so heated that, earlier this year, staff for Sen. Cynthia Lummis (R., Wyo.)—a key architect of the bill and one of crypto's biggest allies in Congress—began refusing to

meet with a member of Armstrong's lobbying team, the people said. A spokeswoman for Lummis said she wouldn't comment on private meetings, but that she has maintained "a great relationship with Coinbase and is grateful for their continued dedication to getting the Clarity Act across the finish line."

The Senate had left for August recess without a vote on the bill when the president called top crypto executives, including Armstrong, to a meeting at the White House that was streamed online. The president told jokes and later showed executives around the Oval Office. Last weekend, Senate Republicans released a version of the bill with new concessions from Trump, including language that would require the president to put his crypto holdings in a blind trust. Democrats weren't satisfied.

A White House official said the Trump administration agreed to the most comprehensive and wide-ranging ethics provision in history. On Tuesday, the bill failed to draw the 60 votes needed to advance it over one of its final procedural hurdles. Shares of Coinbase closed down more than 10%. Two days later, the industry regained momentum when the Securities and Exchange Commission cleared the path for tokenized stocks to trade in the U.S. Coinbase shares jumped 12% on Friday.

Early Saturday morning, Armstrong said the final bill was an improvement on earlier drafts, even as he acknowledged that it failed. "I'm proud to have done it, and would do it again, because it helped create a better bill. One step of many along the way," he wrote on X.

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NEWS
NUMBERS

\$221.4 bn

THE VALUE of India's software services exports in 2025-26, up 8.2% year-on-year, according to a report by the Reserve Bank of India.

\$63 bn

THE TARGET set by Salesforce for its fiscal 2030 revenue, exceeding estimates, as the company seeks to sustain growth amid rising competition from AI tools.

10-15%

THE AI adoption rate recorded by major emerging markets, compared with the 15-20% rate in key developed economies, per a report by Goldman Sachs Research.

\$45.1 bn

THE ESTIMATED cost of the US war with Iran, according to the Pentagon, topping the Congressional Budget Office's \$38 billion projection through 1 August.

\$278 bn

THE TOTAL cash that OpenAI expects to burn between 2026 and 2030 as it ramps up spending on computing power and infra, according to the Financial Times.

HOWINDIALIVES.COM

NSE's shareholders retain major stake



The selling shareholders largely comprised institutional investors.

REUTERS

A majority of the existing shareholders of the National Stock Exchange of India (NSE) have retained a significant portion of their holdings even after tendering shares in the offer-for-sale (OFS) component of the

exchange's ₹22,569-crore initial public offering (IPO).

The selling shareholders largely comprised institutional investors, who collectively held a 36.82% stake in NSE before the IPO and tendered shares representing a 5.11% stake in the exchange, according to an analysis of data.

Of the 20 institutional shareholders that participated in the OFS, nine were foreign institutional investors, which collectively held a 15.96% stake before the IPO, it added.

The remaining 11 were domestic institutions, comprising 10 public sector entities and ICICI Lombard General Insurance, which together held a 20.86% stake before the OFS.

Several large institutional shareholders have largely stayed put despite participating in the OFS. Among other large foreign investors, Crown Capital offered around 11% of its pre-OFS holding, while TA Asia Pacific reduced its holding by about 6%.

PTI



AP

Monsoon retreat
begins from west
Rajasthan

The development marks the onset of the annual retreat of the southwest monsoon

Vijay C Roy
vijay.roy@livemint.com

The southwest monsoon has begun withdrawing from parts of northwest India, with the withdrawal line moving across western Rajasthan and adjoining areas, the India Meteorological Department (IMD) said on Sunday.

As of 20 September, the line of withdrawal passes through Ramgarh, Mohanagarh, Phalodi and Khajuwala.

The development marks the onset of the annual retreat of the southwest monsoon, which typically begins from western Rajasthan in September. The withdrawal process is expected to progress gradually towards other parts of northwest and central India, depending on rainfall and atmospheric conditions, the weather office said.

The southwest monsoon typically starts withdrawing from the North-West in September, with its retreat progressing gradually towards the South and the East. The development will be closely watched as the monsoon accounts for about 70% of India's annual rainfall, and its withdrawal marks the transition towards the post-

monsoon season.

Meanwhile, the IMD in its latest forecast also stated that rainfall is likely to remain active across several parts of the country over the coming week, with widespread showers forecast over parts of eastern, central and southern India.

In eastern India, widespread rainfall is likely over the Andaman and Nicobar Islands and Gangetic West Bengal during 21-26 September, while Odisha, Jharkhand and Sub-Himalayan West Bengal and Sikkim are expected to receive widespread rain from 22-26 September. Bihar may see widespread rainfall during 24-26 September. Central India is also likely to witness significant rainfall, with Chhattisgarh forecast to receive widespread showers throughout 21-26 September. Vidarbha is likely to see widespread rainfall during 21-26 September, while east Madhya Pradesh is expected to receive rain during 23-26 September.

In south India, widespread rainfall is forecast over Kerala, coastal Karnataka, and parts of Karnataka during the week, while Telangana and coastal Andhra Pradesh may receive rain at different times.

For an extended version of this story, go to livemint.com

NCLAT flags delay
in IRP appointment

Appellate Insolvency Tribunal NCLAT has raised concerns over construction major NBCC's delay in meeting deadlines set for resumption of work at Supertech Ltd's stalled housing projects.

Besides, a three-member bench has also pulled up the authorities over the delay in appointing an interim resolution professional (IRP) for the realty firm, which is currently going through the Corporate Insolvency Resolution Process (CIRP). The National Company Law Appellate Tribunal (NCLAT) has directed NCLT and the Insolvency and Bankruptcy Board of India (IBBI) to suggest names within a week. The NCLAT has directed that the matter be listed on 25 September for further hearing.

PTI



ASML provides advance lithography technology which enables making circuits on silicon wafers. REUTERS

ASML begins India
operations

Semiconductor equipment maker ASML has started operations in India and plans to hire 20-30 young engineering graduates initially to meet its requirement, a senior official of the company said.

Speaking on the sidelines of SEMICON India 2026, ASML executive vice president and head of customer support Lin Kiat Yap told PTI that the company's scaling-up plan depends on the success of Tata Electronics chip unit in India and the ambition of India to grow in the semiconductor space. Asked about when his company is going to start India operations and scale it up, Yap said, "Right now", and added, "We are probably going to start off at 20-30 people. We will see how fast it scales. It really depends on the ambitions of India, and it really depends on the ambitions of Tata." ASML provides advance lithography technology which enables making circuits on silicon wafers. In a way, it paves the foundation of converting a silicon wafer into an active component. The company has a monopoly in advanced lithography technology, and no advanced chip in the world can be made without its equipment.

PTI

Tessolve in talks to
acquire two firms

Semiconductor engineering services firm Tessolve, a Hero Electronix venture, is in active talks to acquire two more companies—one based in the US and another in India—as it targets annual revenue of over \$500 million (about ₹4,700 crore) within the next three to four years, its co-founder and chief executive officer Srini Chinamilli said.

"We are in active talks with some companies we have not yet announced... We are talking to one company in the US, and there is one local (Indian) company as well," Chinamilli told PTI in an interview, without naming the companies involved.

Tessolve acquired a 100% stake in Dream Chip in November 2024 for ₹400 crore.

PTI

Coforge, Hexaware look to
ease AI token tabs of clients

FROM PAGE 1

raw token cost, I do not believe is the right measure. It is the cost per unit of work that you have to go ahead and deliver in any value chain any workflow that is the right metric..." said Lalit Wadhwa, CTO of Coforge at its webinar. "And that is something that frankly is not too difficult to go ahead and control at this point in time, given the variety of models, capabilities of the models..."

The management said "every client that we know has burned their annual budget of tokens in months, if not days" and that has resulted in "every single client looking at having some kind of ceiling" on their AI spending.

At least one brokerage gave the strategy a thumbs up. "By delivering operational accuracy in mission-critical environments, Coforge can deepen its integration into clients' core operations. As enterprises exhaust annual token budgets prematurely, Coforge's sovereign AI offering is positioned to capture demand for control at source by improving AI efficiency, selecting fit-for-purpose models and scaling usage according to task requirements," said Ashish Dash, vice-president at Systematix, a Mumbai-based brokerage.



IT firms retool pricing for AI tokens.

BLOOMBERG

Coforge's move comes less than a month after India's tenth-largest IT services firm Hexaware said clients are viewing token usage as another spending bucket alongside labour, software licences, cloud infrastructure and hardware. R. Srikrishna, chief executive of Hexaware, at the company's investor day on 21 August, said the company plans to address the issue of client spending on tokens. "All our proposals will increasingly carry an option for our clients to add the token costs," he said the company will price tokens in "creative ways".

It will fix token costs for some outcomes because of clients' lack of knowledge on token costs. Secondly, the company said it will help clients figure out their actual

token expenditure versus their original estimates. Hexaware is also helping clients manage IT work with the most cost-effective AI model, and using smaller language models wherever possible.

Such moves could well become a differentiator for IT companies, said Motilal Oswal Financial Services.

"AI revenue disclosure is increasingly becoming common across the industry, whereas the ability to price and monetize AI services in a token-cost environment could emerge as a stronger differentiator," the 23 August note said. "That said, the commercial framework remains at an early stage and will require validation through client adoption over next two to three quarters."

Hexaware's plans came days before the management announced a top-deck change. On 2 September, the company announced Vivek Jetley as CEO from 28 October.

Coforge and Hexaware, among the fastest-growing sector firms, do not detail their revenue from AI.

For financial year 2026, Coforge and Hexaware saw revenues of \$1.87 billion and \$1.54 billion, up 29.2% and 7.6% on year, respectively.

For an extended version of this story, go to livemint.com.

PwC sets the template, rivals weigh
their next move in advisory race

FROM PAGE 1

means higher growth and also more opportunities for our people and partners," Krishnan added.

According to industry executives, others may follow suit as the battle for getting clients becomes steeper. "The JV tells us how the global professional services model is changing, and how India is central to value creation. BDO India believes that this strategic shift is in the offing, and it would have a larger role to play in the future, likewise," said Milind S. Kothari, chairman and Group chief executive officer (CEO) of BDO India.

Most of these audit and consulting firms have their offshore units. KPMG India sold its entire 33% stake in its shared services arm, KPMG Global Services, to KPMG US and UK member firms for \$210 million (₹1,808 crore) in 2025.

Deloitte, EY, GT and KPMG did not comment to Mint's queries.

The pressure of AI to offer more than just plug and play solutions could be another reason for shifts in strategies.

"Advisory firms now have to come up with better ideas and estimate how the business will evolve going forward, which requires higher skillsets. A large part of the Big Four's advisory business came through cross-selling, where partners would encourage clients to sign up for



PwC India is part of a group of audit and consulting firms. REUTERS

another service of the firm besides the one they were already engaged for," said Shailesh Haribhakti, chairperson of Shailesh Haribhakti & Associates—a chartered accountancy firm.

"With agentic AI, client capture has become tougher, and we will likely see others adopt different strategies to work more closely with their GCC units," he added.

According to an executive in Deloitte, the advisory team in India closely works with the Deloitte US advisory practice and a JV like PwC is not on the cards. "However, what the JV will do is increase competition for work with global clients from India," he pointed out.

Meanwhile, a senior equity

partner in one of the Big Six pointed out the aim is also to get a larger chunk of GCC clients, many of whom are US based. According to a study by IT industry body Nasscom and consulting firm Zinnov, more than 100 new GCCs were added in FY26 taking the total count of GCCs in India to 2117. "The competition for GCC clients which in turn will translate to higher billing as a large chunk of them are US-based, is one of the key drivers. It will also give the advisory team in India more exposure to work done across other geographies."

But a third equity partner working with the Big Six cautioned that there is a lot at stake still. "Questions remain over who controls the client relationship, how billing structures will change, and how tough it will be to merge two units onto one common technology platform."

But the PwC chairperson is optimistic. "Leading up to and since the passing of the resolution, we have continued to be in communication with our partners and people. If the partners did not believe in the growth we will be able to drive through this JV, they would not have supported this resolution with such an overwhelming majority."

The transaction is expected to close in the first half of calendar year 2027, subject to closing conditions and regulatory approvals.

Samsung: India AI
sales jump 9-fold

India has emerged as one of Samsung's fastest-growing markets for artificial intelligence (AI)-powered home appliances, with the number of newly connected devices in the country rising nine-fold over the past three years, driven largely by younger consumers, the South Korean consumer electronics major said.

The number of newly connected Samsung appliances in India grew from 82,000 in 2022 to 7,32,000 last year, said Samsung Electronics vice president and head of experience Planning and CX Insight Group, DA (Digital Appliances) Business Bona Lee.

"As a result, Southwest Asia's share of Samsung connected devices worldwide has grown from 2% in 2022 to 13% in 2026," Lee said, adding that the company has already surpassed last year's numbers in just eight months of the current year.

PTI



The petroleum and natural gas ministry has laid down detailed mechanisms for the scheme.

HT

Govt rolls out
GOBARdhan rules

The government has operationalised its ₹23,731-crore GOBARdhan scheme for compressed biogas (CBG), offering producers assured offtake of up to 100% of their output, a government-backed administered price for at least 10 years and capital assistance, in a bid to make waste-to-energy projects more commercially viable and attract private investment. The petroleum and natural gas ministry, in operational guidelines dated 15 September, has laid down detailed mechanisms for the scheme, which will run from 2026-27 to 2035-36 and seeks to establish a more predictable market for CBG producers. GOBARdhan stands for Galvanising Organic Bio-Agro Resources Dhan. It is the government's programme to turn organic waste such as cattle dung, agricultural residue, food waste and other biomass into useful products such as biogas, CBG and organic manure.

PTI

ICAI issues new
sustainability rules

The Institute of Chartered Accountants of India (ICAI) has issued a new standard on sustainability assurance that will be applicable from 1 April 2027.

SSA 5000 is the Standard on Sustainability Assurance, and the General Requirements & Framework for Sustainability Assurance Engagements aligns with global standards.

ICAI president Prasanna Kumar D said the move would help boost confidence among investors and stakeholders. This standard pertains to an entity's disclosures about sustainability information across different topics, including climate, labour practices and biodiversity. SSA 5000 has been prepared with certain carve-outs from the International Standard on Sustainability Assurance (ISSA 5000), an ICAI official said on Sunday. ICAI sets standards for various activities. It has more than five lakh members.

PTI

NMDC targets 60
MT iron ore output

NMDC is working on strategies to achieve the 60 MT iron ore production mark this fiscal to meet growing demand from domestic steelmakers for the key raw material, its chairman Amitava Mukherjee said.

Aligned with the National Steel Policy 2017, which targets an installed domestic steelmaking capacity of 300 MT by 2030-31, NMDC, India's largest iron ore producer, aims to scale its output to 100 MT during the period.

"Having crossed the 50 MT milestone in FY2026, NMDC is now aggressively executing a production ramp-up plan to reach 60 MTPA from existing iron ore mines, complemented by NMDC-CMDC Limited (NCL) joint venture assets this fiscal, which would be a rise of around 20 per cent year-on-year," the top company official said in an interaction.

Mukherjee shared that the company has already applied for environmental clearances (ECs) for some deposits with the union ministry of environment, forest and climate change.

PTI



HOW TATA SONS DIRECTORS OUTFLANKED NOEL TATA

The Tata scion left last week's board meeting expecting no decisions. He learnt otherwise later

Satish John & Varun Sood
MUMBAI/BENGALURU

Last Thursday in Mumbai, the Tata Sons boardroom was tense. The much-anticipated meeting wrapped up earlier than planned, lasting only about three hours. At first, it looked like the directors had not reached an agreement on the two principal agenda items.

At 1:55 pm on 17 September, an executive who was part of a team briefed by Tata Trusts chair, Noel Tata, on what had transpired at the meeting, sent two messages to a few people: "Meeting done", "No resolutions".

Noel was under the impression that the board had not reached a decision on the Reserve Bank of India's 11 September directive asking Tata Sons to go public, or reassessing N. Chandrasekaran's tenure. The holding company's chairman had announced in August that he would not seek reappointment after completing his term on 20 February 2027.

The takeaway for the other five directors on the Tata Sons board was quite different. Noel would discover that only later.

The chairman of Tata Trusts, which owns 65.9% of Tata Sons, had arrived that morning at Bombay House, the Tata group's headquarters, well prepared for a challenge. He had with him a folder containing a seven-page note outlining the Trusts' stance against RBI's listing order, a two-page note on why Chandrasekaran shouldn't be given a third term, and a 40-page legal opinion authored by former Supreme Court Chief Justice Dhananjay Y. Chandrachud.

Noel stood alone against the other five directors. According to the unnamed executive above, Noel had expected the other board members to interrupt or talk over him as he made his case. His advisers had briefed him to at least present his documents for the record if the others interrupted him. It didn't come to that. They let him speak freely.

In fact, when Noel brought up the RBI's order and suggested options for the board to present to the regulator, Chandrasekaran responded with "good preparation", said a second executive, who also spoke on condition of anonymity.

Shortly after the meeting concluded, however, the board, sans Noel, issued a statement announcing a third term for Chandrasekaran and declaring that Tata Sons would take steps to comply with RBI's guidelines. The regulator had first mandated Tata Sons to list in September 2022.

The following day, on 18 September, Noel wrote two letters stating that the other members had pushed through the two contentious issues. From the perspective of the other board members, it appeared that they had lost patience with Noel, the head of the philanthropic entities that own most of Tata Sons.

SENSE OF FOREBODING

The first hint of how the day would unfold came an hour before the board meeting.

Harish Manwani, former chief operating officer of Unilever Plc. and a Tata Sons board member, met Noel at around 9:15 am in Trent Ltd's office on the first floor of Bombay House. He wanted to understand Noel's plans for the board meeting.

According to the first executive above, Manwani was more assertive than usual, a shift from his usual polite approach with Noel. He explained his role as chairman of Tata Son's Nomination

The battle has taken a fresh turn, with advocate Abhishek Manu Singhvi representing Tata Trusts, and ex-solicitor general of India Harish Salve advising Chandrasekaran.

and Remuneration Committee and asked if Noel would support a third term for Chandrasekaran.

Noel made the Trusts' position clear: "No".

When Manwani saw there was no room for negotiation and their positions were completely opposed, he left the meeting. "You do what you have to do, I'll do what I have to do," he reportedly told Noel.

CRUCIAL MEETING

A little after 10 am, the six directors gathered on the renovated fourth floor of Bombay House and started going through the agenda. They reviewed notes from the previous meeting, the first-quarter update, and the usual business for a holding company involved in steel, software, salt, and airlines. The two key agenda topics came up later.

Noel, 69, was the newest member on the Tata Sons board. He had joined less than three weeks after becoming chairman of Tata Trusts on 11 October 2024. His half-brother, Ratan Tata, had died on 9 October.

Across from Noel at the meeting was fellow trustee-nominee on the Tata Sons'



From left: Tata Sons chair N. Chandrasekaran; Venu Srinivasan, the longest-serving member on the board; Harish Manwani, chairman of the Nomination and Remuneration Committee; and Tata Trusts' chair Noel Tata.

board, Venu Srinivasan, a trustee of the Sir Ratan Tata Trust. He had turned a rebel and approached the Maharashtra chief charity commissioner earlier this year supporting the listing of Tata Sons' shares.

The Sir Ratan Tata Trust (SRTT) and the Sir Dorabji Tata Trust (SDTT), part of the wider Tata Trusts cluster, are the two largest philanthropic organisations that collectively control Tata Sons. Noel was the only one at the crucial 17 September board meeting representing the Trusts' interests.

Srinivasan is the longest-serving on Tata Sons' six-member board, having joined in August 2016, two months before Ratan Tata dismissed former Tata Sons chair Cyrus Mistry. Later that year, Chandrasekaran, then the chief executive of Tata Consultancy Services Ltd, joined the board. Four months later, in February 2017, Chandrasekaran became chairman of Tata Sons. His aide, Saurabh Agrawal, now group chief financial officer, joined the board in May 2018. That same month, Manwani joined as an independent director. Anita George became an independent director in July 2022.

When it was time for the board to discuss the Tata Sons chairman's tenure, Chandrasekaran stepped aside. Manwani,

who usually says little at these meetings, led this discussion from start to finish, said the second executive mentioned above. "He came well prepared."

Noel kept his statement brief. Chandrasekaran had written to the board on 12 August about his decision to not

seek a third term as Tata Sons' chair. The Sir Dorabji Tata Trust, Tata Sons' largest shareholder, accepted Chandrasekaran's decision the next day and asked Tata Sons to set up a selection committee as required by the Articles of Association (AoA). Noel argued that as this position had been made public, it could not be changed since employees, lenders, counterparties, the stock market, and the majority shareholder had all acted on it.

He said that under Articles 121 and 118 of the AoA, a decision about the chairmanship needed a 'yes' vote from most of the Trusts' nominated directors. Srinivasan and he were the two nominees, he said, and if either voted 'no', the board could not decide on the matter—a stance that found support in Justice Chandrachud's legal opinion.

Manwani brought up the new situation created by the RBI's order. Chandrase-

karan was the best man to lead the group for a listing, he said, and wanted to wrap up the discussion quickly, according to the second executive.

THE AMBUSH

As the chairman of Tata Sons' Nomination and Remuneration Committee, Manwani is responsible for planning succession and board appointments. Noel had discussed the Tata Sons chairman succession with him last year and again this year. The first time, in January 2025, Manwani had agreed with Noel's advice to begin working on a succession plan. But in February this year, according to the two executives above, he said he didn't have time to work on a succession plan.

At the 17 September board meeting, acting more assertively than usual, Manwani noted that a selection committee had not yet been constituted to find Chandrasekaran's successor, adding that the group needed stable leadership and that the board should vote on the chairmanship.

Manwani then asked the five board members present how many of them supported another five-year term for Chandrasekaran. Four directors raised their hands in support. Noel was the only one who did not.

Noel then presented Justice Chandrachud's legal opinion on the rules for appointing and reappointing the Tata Sons' chair.

The rest of the board members did not consider Chandrachud's opinion. Instead, they had asked another lawyer, Sudipta Sarkar, for this opinion. Sarkar's view was that Manwani's vote could override the Trustees' split votes and break the deadlock.

Suprakash Mukhopadhyay, Tata Sons' group company secretary, was asked to check whether the process to reappoint the chairman as per the AoA aligned with Sarkar's opinion. "Okay, I'll get back to you in half an hour," Mukhopadhyay reportedly said, according to the first executive above.

Noel then repeatedly mentioned that Chandrasekaran's reappointment on 11 February 2022 for a second five-year term was made under Article 118.

Mukhopadhyay disputed this. But nobody in the room was willing to check the minutes or records of that board meeting.

Noel again made two submissions.

One, seek another legal view as there was "divergence" in Justice Chandrachud's and Sarkar's views.

The board agreed.

Two, shareholders would first need to approve Chandrasekaran's reappointment as a director at a validly constituted annual general meeting.



WHAT

Noel Tata was blindsided by the other Tata Sons directors after leaving the board meeting believing key decisions had been deferred.

SO WHAT

The board's move challenges Tata Trusts' influence over Tata Sons and reopens a long-running question over who controls the holding company.

WHAT NEXT

Noel Tata and Tata Trusts are challenging the board's decisions, setting up a fresh battle over N. Chandrasekaran's reappointment and Tata Sons' listing.

Again, the board agreed.

According to Noel's 18 September letter to Mukhopadhyay, the board members had agreed to record in the minutes of the meeting that until both conditions were met Tata Sons would not declare the outcome of the discussions.

After the board meeting ended on 17 September, a little after 1:30 pm, Noel came down from the fourth floor. His executives thought he was taking a lunch break and would return upstairs. But Noel left Bombay House believing no decisions had been made as the legal opinions still needed confirmation.

"The contention," said a Tata Trusts spokesperson, "is correct and is confirmed", when asked whether Noel had stated in his board discussions on 17 September that all discussions and the vote on the chairman's reappointment were subject to two terms.

The first condition 'Tata Sons' board agreed to was to obtain a legal opinion answering three questions: whether Article 118 applies to the chairman's reappointment, whether the decision could be approved even though Noel opposed it, and whether the chairman's deciding vote

could break a tie. The second condition the Tata Sons board agreed to was that shareholders would need to approve Chandrasekaran's reappointment as director at a properly held annual general meeting.

"Mr Tata has formally communicated this to the Company Secretary, Tata Sons," said the Tata Trusts spokesperson.

Tata Sons did not reply to *Mint's* queries till the time of publishing.

THE EMAIL

A little after 2:20 pm, Mukhopadhyay, who has worked closely with Chandrasekaran for over two decades and records board discussions, emailed all six directors stating that the process to reappoint the Tata Sons chair aligned with Sarkar's opinion. He also shared a one-page statement that Tata Sons released to the press at the same time.

That was how Noel, who was at his home in Cuffe Parade, about 20 minutes from Bombay House, found that Tata Sons had reappointed Chandrasekaran as the chair for another five years.

Soon, Tata Sons sent a formal press release.

"At the meeting of the Board on 17 September 2026, Chandra acceded to the Board's request to reconsider his decision.

The Board thereafter resolved by a majority vote to re-appoint him as Executive Chairman for a further term of five years upon the expiry of his current tenure," read the statement.

LISTING FLIPFLOP

The RBI order's decision on the Trusts' board, as mentioned in the statement, left more questions than answers. It was vague,

saying the board had "resolved to initiate steps to comply with the applicable RBI Guidelines and will seek guidance from RBI, Tata Trusts and other stakeholders on applicable compliance requirements".

But according to the second executive, the board meeting never explicitly discussed Tata Sons' listing. Both Chandrasekaran and Manwani, the executive said, argued for compliance and repeatedly mentioned that Tata Sons would follow the rules.

"That means we are accepting the order?" Noel asked the board members at one point, according to this account. He wanted an explanation, a review of every option, and more detailed discussions with the regulator.

Following Tata Sons' statement, the media, already briefed by company spokespeople, reported that the Tata group holding company had agreed to list

its shares. Some of the listed Tata stocks surged. The following day, though, on 18 September, the feud wiped out ₹52,154 crore in market value from the group's listed companies.

"In possibly a first, a set of directors have taken decisions that are not supported by the company's controlling shareholder. These choices run counter to the intent of Tata Sons' Articles of Association and contravene the Group's stated policies," Institutional Investor Advisory Services (IIAS), a proxy advisory firm, wrote in a note on 18 September. "Irrespective of the merits and legality of these decisions, they change the structure of a 100+ year old group—all this in a few hours and in one board meeting. It is unclear how the board expects these decisions to survive a shareholder vote."

'ILLEGAL', 'FAILED RESOLUTION'

Back at the Tata Trusts office, Noel appeared calm as he described to his team, including the two executives above, his version of what had transpired during the board meeting that day. He took time to thank his team for their efforts and recognised what they had been through.

Then, for the first time, his usually quiet media team took a more active

approach. They issued five press statements late into the night. The statements detailed Noel's submissions on his rationale for opposing Chandrasekaran's reappointment and questioned the Tata Sons board's decision to reappoint him, calling it "illegal". A seven-page statement explained how Tata Trusts wanted Tata Sons management to engage

with the RBI.

On Sunday, Tata Trusts issued a sixth statement rejecting the contention that an independent director's deciding vote could secure Chandrasekaran's reappointment, saying the resolution had failed the moment one of the Trusts' two nominee directors voted against it.

The Trusts has also appointed senior advocate Abhishek Manu Singhvi to represent it in the dispute with the Tata Sons board. On the other side of the dispute, former solicitor general of India Harish Salve, who is advising Chandrasekaran, has described Tata Sons' position as "legally perfect".

The conflict has begun. Whether it will end in favour of Tata Trusts, as it did during Ratan Tata's early fight with Tata group satraps and later against the late Cyrus Mistry, only time will tell.

satish.john@livemint.com



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How will the EPFO wage ceiling hike affect your salary, pension?

Higher ceiling lifts maximum monthly PF contribution to ₹3,000 and pension benefits to about ₹13,214 a month

Apurita Sharma
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The government has raised the wage ceiling for mandatory Employees' Provident Fund Organisation coverage from ₹15,000 to ₹25,000 a month, shows a gazette notification. Effective 17 September, the revised ceiling will bring more employees under mandatory provident fund coverage. The ceiling was last revised in 2014, from ₹6,500 to ₹15,000. The change will affect provident fund contributions, pension eligibility and Employees' Deposit Linked Insurance (EDLI) benefits.

Membership rules

EPF membership is mandatory for employees whose PF wages, defined under the Code on Social Security, are within the notified wage ceiling. Those earning above it can also opt to contribute by submitting a joint declaration with their employer. Contributions can be either 12% of the wage ceiling or 12% of actual PF wages—basic salary, dearness or other retaining allowances—subject to the employer's internal policy.

"The move is most relevant for two categories of employees: Those drawing wages of ₹15,000-25,000, for whom EPFO enrolment is presently optional and will now be made mandatory, and existing members whose contributions are currently restricted to the ₹15,000 ceiling," said Anurag Jain, co-founder and partner, tax and regulatory consultancy firm ByTheBook Consulting LLP.

"Employees drawing wages above ₹25,000 at the time of joining will remain 'excluded employees', unless she's already an existing PF member," added Jain. Thus, a fresher earning above ₹25,000 a month can choose to remain outside EPFO coverage.

Impact on take-home salary

If employee contributions are capped at 12% of the wage ceiling, the maximum monthly contribution to PF will rise from ₹1,800 to ₹3,000. It means a reduction of ₹1200 in take-home pay. The employer's contribution will rise by the same amount.

Ankur Jain, partner and leader, regulatory and business solutions, PwC India, said the employer cannot adjust the higher contribution within employees' existing cost-to-company (CTC). "It has to be an additional cost hitting the P&L (profit and loss)." In effect, the employee's take-home pay will fall by ₹1,200 a month, while the employer will contribute additional ₹1,200 towards the employee's PF.

For employees contributing on the full actual wages, take-home pay will not change merely because the ceiling has increased. "If employee and employer contribution is 12% of the full-basic setup, only the internal EPS/EPF split will move," said Kunal

How the new EPFO wage ceiling impacts you

From take-home pay and EPS contributions to retirement pension and EDLI cover, here's how the new wage ceiling affects employees.

Implementation date: 17 September 2026, as per gazette notification

Impact on take-home salary

Particulars	Present ceiling (₹15,000/month)	Proposed ceiling (₹25,000/month)
Employee share (12%)	₹1,800	₹3,000
Employer share (12%)	₹1,800	₹3,000
— of which to EPS (8.33%)	₹1,250	₹2,083
— of which to EPF (3.67%)	₹550	₹917
Total contribution to retirement corpus	₹3,600	₹6,000
Reduction on monthly take-home (increased PF contribution by employees)*	-	₹1,200 (3,000-1,800)
Annual impact on take-home	-	₹14,400

*Employers cannot readjust their increased contribution within employee's existing CTC, otherwise monthly hit would have been ₹2,400

EPS contribution under new set-up

PF wages	EPS membership	EPF-EPS mix now	EPF-EPS mix before
Up to ₹15,000	Mandatory	8.33% EPS+3.67% EPF	8.33% EPS+3.67% EPF
₹15,000-25,000	Mandatory	8.33% EPS+3.67% EPF	Entire contribution to EPF*
Above ₹25,000	Not eligible for EPS	Entire contribution to EPF	Entire contribution to EPF

*Those having PF wages above ₹15,000 as a fresher after 1 September 2014 were ineligible for EPS so far

Pension after retirement

As per rules, more than 20 years of service gets an additional two-year weightage.

Pensionable service	Earlier ceiling (₹15,000) (A)	New ceiling (₹25,000) (B)
20 years (22 with weightage)	₹4,714	₹7,857
35 years (37 with weightage)	₹7,929	₹13,214
Monthly pension formula:	Pensionable wages x pensionable service divided by 70	
Important:	Higher pension does not automatically apply to past service. Different wage-ceiling periods are calculated separately.	
Example:	10 years under old ceiling + 25 years under new ceiling	
Monthly pension:	₹11,071	

Source: SKVC Consulting

EPFO: Employees' Provident Fund Organisation; EPF: Employees' Provident Fund; EPS: Employees' Pension Scheme; EDLI: Employees' Deposit-Linked Insurance Scheme; PF: Provident fund; CTC: Cost to company

Life insurance under EDLI Scheme

Existing minimum limit

₹2.5 lakh

Existing maximum limit

₹7 lakh

Maximum limit as per revised ceiling

₹10.5 lakh

Note: Technically the coverage increases but the highest and lowest figures are fixed under paragraph 21(4) of the EDLI Scheme

Expect no change unless the government amends the EDLI Scheme

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Kabra, founder, Kustodian.Life.

EPS contribution

The employer's 12% contribution is split between Employees' Pension Scheme (EPS) and EPF, with 8.33% of the applicable wage ceiling going to EPS. The monthly EPS contribution will rise from ₹1,250 at the previous ₹15,000 ceiling to a ₹2,083 at ₹25,000—up ₹833. "Employees earning ₹15,000 or less will see no change. Those who contribute to wages above the ceiling will see no change in total deduction. For them, however, an

extra ₹833 a month will go to the pension fund and ₹833 less to the PF account, since the pension share is calculated on the ceiling," Kunal Arora, advocate and principal consultant, SKVC Consulting, said.

EPS eligibility

The higher wage ceiling could bring employees earning ₹15,000-₹25,000 into EPS. So far, freshers joining EPFO with wages above ₹15,000 from 1 September 2014 were not part of the pension scheme. Under the new ceiling, 8.33% of wages, subject to ₹25,000,

will go to EPS for eligible employees.

"The Centre said about 5.1 million employees earning ₹15,000-25,000 will come under coverage. Since the exclusion test looks at wages on the date of entitlement, how and from which date existing employees are brought in will depend on the wording of the notification," said Arora.

New joiners earning over ₹25,000 cannot become EPS members but can contribute to EPF based on the wage ceiling or their actual PF wages.

How does this affect pensions

The pension calculation under the Employees' Pension Scheme, effective 29 June 2026, will be the same:

Monthly pension = pensionable wages x pensionable service ÷ 70

Pensionable wages are based on average wages during the 60 months preceding retirement or exit, subject to the applicable ceiling. Members with 20 or more years of pensionable service receive an additional two years. Thus, 35 years of actual service translates into 37 years of pensionable service. At the ₹15,000 ceiling, the pension would have been ₹7,929 a month. At ₹25,000, it will be ₹13,214. However, the higher ceiling will not automatically apply to an employee's entire service period. The 60-month average is calculated separately for different wage-ceiling periods.

"This is to balance out the contribution and resultant pension. People who contributed at a lower wage ceiling for a certain number of years cannot receive a pension for all those years at a higher wage ceiling. This is why pensionable salary is computed segment-wise for each period of service," explained Jain.

The maximum pension of about ₹13,214 would apply only when the entire service period is covered by the ₹25,000 ceiling. For example, a member with 10 years of service before the revision and 25 years afterwards would receive a pension based on both periods. On a simplified calculation, it would be about ₹11,071 a month before any other applicable weightage: $(₹15,000 \times 10) + (₹25,000 \times 25) \div 70 = ₹11,071$

"The minimum pension remains ₹1,000 per month under paragraph 12(8)," added Arora.

EDLI benefits

The EDLI cover remains capped at ₹7 lakh. For a member with 12 months of continuous employment before the month of death, the benefit is calculated as 35 times the average monthly wages during the preceding 12 months, subject to the notified wage ceiling, plus 50% of the average PF balance, subject to ₹1.75 lakh.

The scheme provides a minimum benefit of ₹2.5 lakh and a maximum of ₹7 lakh. "The ₹7 lakh is a fixed figure in paragraph 21(4). It is not linked to the ceiling. On the old ceiling, it would fetch ₹7 lakh. On new ceiling, it gives ₹10.5 lakh, but the payment is capped at ₹7 lakh unless the Centre amends the scheme," said Arora.

The minimum amounts are also likely to remain fixed. "The ₹2.5 lakh minimum pension under paragraph 21(4) and the ₹50,000 benefit under paragraph 21(2) do not change merely because the EPFO wage ceiling has increased," he added.



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POWER
POINT

DHIRENDRA KUMAR

We welcome your views and comments at
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ARE CREDIT CARD REWARDS REALLY WORTH CHASING?

Recently, India's personal finance space has been consumed by an argument unrelated to markets, investments or retirement. HDFC Bank Ltd has changed how it runs a premium credit card, apparently a prestigious, invitation-only object of desire. The bank says the card will henceforth be available only to customers who either spend a lot or have a large 'relationship value' with it. Everyone else's cards will be closed or downgraded.

The response has been extraordinary: X threads of hundreds of messages, screenshots of relationship managers' emails circulated as evidence, and talk of complaints to the Reserve Bank of India (RBI) and consumer forums. To be fair, some anger is justified. If (and I don't know if this is true) a bank collects an annual fee and then, before the year ends, tells customers they don't deserve membership, it has taken money for a promise it has since withdrawn. Asking a regulator to take a view is fair.

But what has amazed me is the quality and intensity of the effort going into the matter. Read the threads, and you will find work worthy of a good investment research team. People have created Excel spreadsheets to track spending. They know which categories count and how settlements can push a transaction into the next financial year. They have read the fine print and understood it. This is sustained, numerate analytical work on a question that matters intensely to them.

Ask one of these people what the expense ratio on their mutual fund is, or how their portfolio is split between equity and fixed income. I've done such experiments, and I know the answer.

Instant gratification

This asymmetry isn't foolishness or laziness. A credit card programme is designed as a game that produces immediate rewards. You work out a clever manoeuvre, it pays out within the month

(actually, it makes you spend more), and you have won something. Investments offer no such excitement or sense of victory. Given the choice between a game that settles this week and one that settles in twenty years, people will choose the fast game, and the financial industry knows it.

Consider the arithmetic of the slow game. On a portfolio of ₹50 lakh, the gap between a fund charging 0.5% a year and one charging 1.5% is ₹50,000 in the first year. Since that money never gets invested, it widens every year. One fortnight of the effort now going into spending thresholds, spent instead on fund costs and asset allocation, is worth more than every reward point you will ever earn.

The bank's notice tells holders that this is not a product but a reflection of a relationship. That is exactly right, and it is exactly the problem. A relationship is something the other party can end. Which of these things do you actually own? Points, tiers, lounge access, and relationship status are not your property. A loyalty programme exists to help the other party make more money, and they have written the terms and conditions to ensure it.

Value money

Compare this with what an investor holds. Your units in a mutual fund or your shares in a company are yours because you will never get an email saying you have been transitioned out of the programme for failing to maintain an adequate level of engagement. A scheme can be merged or wound up, but the money stays yours and comes back to you. The value will rise and fall, but that is the market moving, not a bank revoking. You are not a supplicant pleading with a relationship manager, and reduced to venting your anger on X.

I'm not asking anyone to cut up their cards or forgo that coveted lounge access. I use my credit cards almost every day and enjoy these perks. But these perks should be a casual byproduct of spending you'd do anyway. If a bank has set you a target expenditure and you find yourself working hard to meet it, that's the moment to move that energy to your portfolio. It deserves that fortnight more than your card does. The portfolio, unlike the card, cannot be taken away from you. But it can get neglected.

Dhirendra Kumar is founder and CEO of Value Research.

How different assets are taxed?

This table shows the post Budget 2024 capital gains tax treatment across different assets. As a uniform rule, LTCG on all assets except debt funds is now 12.5%, and STCG on assets where STT is paid is 20%, while assets without STT continue to be taxed at slab rates.



	Holding period for LTCG	STCG tax rate	LTCG tax rate
Equity MFs, ETFs and stocks	>12 months	20%	12.5%*
Gold ETFs	>12 months	Slab rate	12.5%
Reits/InvITs	>12 months	20%	12.5%
Listed bonds	>12 months	Slab rate	12.5%
Debt MFs**			
Bought before 1 April 2023	>24 months	Slab rate	12.5%
Bought 1 April 2023 onwards	NA	Slab rate	Slab rate
Gold MFs*, physical gold, overseas MFs, FOFs	>24 months	Slab rate	12.5%
Foreign equity, international ETFs	>24 months	Slab rate	12.5%
Real estate	>24 months	Slab rate	Bought after 23 July 2024: 12.5% Bought before 23 July 2024: lower of 12.5% without indexation and 20% with indexation

*On gains above ₹1.25 lakh. **includes funds that have invested over 65% of proceeds in debt and money market instruments. MF: Mutual funds; ETFs: Exchange-traded funds; Reits: Real Estate Investment Trusts; InvITs: Infrastructure Investment Trusts; FOF: Fund of Funds; NA: Not Applicable. All rates are base; surcharge and cess extra. *gold MFs that invest in an underlying gold ETF. Those without an FOF structure qualify as long-term asset after 1 year. Source: Mint Research

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EM investors prefer local debt as yields rise

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Emerging-market investors are for now sticking with local-currency sovereign debt as surging Treasury yields dim the appeal of dollar-denominated developing-nation bonds.

Behind the strategy are attractive valuations and the potential to profit from carry trades, where investors borrow in low-yielding currencies to invest in higher-yielding assets. The preference is showing up in fund flows, positioning and relative performance. A Bloomberg gauge of domestic EM debt has beaten an index of dollar-denominated bonds by more than three percentage points since the end of June, set for the biggest quarterly outperformance since 2022.

Fund managers are leaning into that divergence too. A Bank of America Corp. survey of 38 global fixed-income fund managers overseeing \$444 billion in combined assets showed that 84% of the respondents were overweight local EM debt relative to hard currency bonds, versus just 38% in August. The poll was conducted between 4 and 9 September.



A stronger dollar and rising US yields remain key risks, although EM currencies have gained 3.7% in 2026.

BLOOMBERG

The trade may still be tested after the Federal Reserve raised interest rates and signaled it may do so again. A renewed advance in the dollar could turn investors away from emerging-market assets such as local-currency debt.

"Current valuations lead us to favor local-currency debt over hard currency debt at this stage of the cycle," said Dilianna Deltcheva, London-based head of emerging-market debt at Dutch investment firm Robeco. Local markets continue to offer a broader set of opportunities, while spread tightening for hard-currency bonds "appears increasingly limited," she added.

So far in September, investors have pulled out more than \$800 million from the \$14 bil-

lion iShares JPMorgan USD Emerging Markets Bond ETF—the largest exchange-traded fund for the category. That's set to be the biggest monthly outflow since March.

In comparison, the \$5 billion VanEck JPMorgan EM Local Currency Bond ETF—the largest for this category, lured about \$41 million so far this month, adding to August's inflow of \$294 million.

With US Treasuries offering higher yields, investors have less incentive to take on the additional credit risk of EM dollar debt. And, the extra yield investors get for holding EM dollar bonds over Treasuries is near its lowest level in almost two decades, according to data compiled by Bloomberg. The spread stands at 1.69

percentage points, not far from the low of 1.53 in June.

"I prefer EM local currency bonds to EM dollar debt over the next few months, but would take a selective approach rather than seek broad index exposure," said George Efstathiopoulos, a portfolio manager at Fidelity International. "I favor Latin America, particularly Brazilian local currency bonds, with a focus on the front end of the curve," supported by attractive carry and real yields, he added.

Robeco's Deltcheva also said Latin America offers high real yields and remains in a strong position to attract capital. The dollar remains a key fault line for the trade, with EM local-currency bonds increasingly moving in the opposite direction to the greenback. The 120-day correlation between a Bloomberg gauge of the securities and the Bloomberg Dollar Spot Index stands at around -0.51, the most negative in about a year. The dollar index climbed 1.1% last week, the most since June.

That said, developing-nation currencies have provided investors with a cushion. Up 3.7% in 2026, the MSCI Emerging Markets Currency Index is on course for a second straight annual gain.



OUR VIEW



Tata Sons mustn't take a hazy path to the market

The case for its listing is pitched on group transparency. However, going about it via a board resolution that treads a legal grey zone would be problematic. Ends matter, but so do means

A supreme irony haunts Bombay House, the headquarters of India's oldest conglomerate. It straddles diverse industries, mostly under a name that has long conveyed 'trust us.' But last week's board vote held by the group's holding company, Tata Sons, has placed its path ahead under a cloud of doubt along with the validity of its board decisions. In defiance of Noel Tata, the chief of its majority owner Tata Trusts, it approved a third term for N. Chandrasekaran as its chair, even as it resolved to take steps to comply with central bank rules that would mandate a listing of the apex company. Or so it said. As Tata Trusts argue, Tata Sons' Articles of Association (AoA) require a majority of their own appointed directors to affirm such a decision, while it was a 1:1 tie in this case, with Venu Srinivasan's yes failing to outweigh Noel Tata's no, implying that a tie-breaker vote cast by independent director Harish Manwani, who acted as the resolution's chair, was invalid. Moreover, for how long can a board defy a company's ownership? On paper, an annual general meeting (AGM) must ratify directorships, and Tata controls enough equity to pull the rug under the board's chair. It's a story of wheels within wheels, with a steering battle for the group's future coming to a head.

As the Trusts see it, the board's backing of Chandrasekaran was a "legal nullity," Tata Sons' search for a successor must go on—given his statement last month opting out of a third term—and Tata is yet to take a call on listing, the crux of its split. Who can exercise a casting vote may be in dispute, but the AoA's spirit is clear—and it suggests board overreach. In particular, the roles played by Srinivasan and Manwani

raise a phalanx of questions not limited to the legality of their decisions. Yet, for Tata Trusts to exercise control, they need a Tata Sons AGM. This year's is held back by an order of Maharashtra's charity commissioner, under which Sir Ratan Tata Trust (SRTT) may have to comply with a year-old trustee-ratio rule before it can operate. It was Srinivasan, having flipped his position on listing, who raked this issue up; SRTT was left arguing that a new rule mustn't apply to trustees appointed earlier. This hitch needs to be resolved before Tata Sons' AGM deadline. Yet, one can safely bet that significant support exists for a public issue with no change in its chair. While central bank rules classify Tata Sons as a big financier with a bearing on the financial system's stability, which implies it must list, the larger case for it is based on the transparency that market disclosures would offer on its complex maze of businesses and capital allocations. An unveiling of data would serve a worthy public cause, arguably, but what about the owner's agency? In Noel Tata's view, going public would hurt the group's character, as it would constrain both its charity commitments and long-horizon investment plans.

Any dilution in Tata Trusts' stake would weaken their control too. A notable pro-listing voice is that of Tata Sons' minority owner, Shapoorji Pallonji (SP), a debt-laden group with an 18.4% stake in need of an exit. This remains blocked by an AoA bar on it selling its shares to a third party without a nod from the Tata Group. While SP now seems better placed than ever to bargain for a grand divorce deal, it is important that Tata Sons does not get driven in a direction its 66% owner disapproves of. Charity apart, capitalism cannot work that way. The basic principles of business can't be ignored.

MY VIEW | THE INTERSECTION

A manager's guide to economic statecraft: try this eightfold path

Be prepared to deal with a world in which economic measures are deployed for political objectives



NITIN PAI is co-founder and director of The Takshashila Institution, an independent centre for research and education in public policy

Dear top, middle and junior manager, I write this in response to questions you have been asking me after hearing my talks on geoeconomics and economic statecraft. I know that you are anxious about your career path and the future of your company, and that neither business school nor recent working experience may have prepared you for what your job has become.

Economic statecraft is the use of economic measures to achieve political objectives. It is different from diplomacy and warfare in that a government uses private firms and individuals to carry it out. So in today's world, where governments are catching the contagion of tariffs, sanctions, quotas and chokepoint diplomacy, it is the private firm that finds itself caught in the middle. It's not a comfortable place. While corporate boards are beginning to grasp the new realities, managers and entrepreneurs have not yet internalized that the scene has changed.

So let me offer you an practical eightfold path to chart your way through the current *yuganta* (end of an epoch).

First, get the right amount of information. Follow the news, but lightly. Unless you are an active trader in the markets, you don't need real-time updates about wars, summits, congressional hearings and elections. There is a case for a daily newspaper and a serious

weekly magazine, or their online equivalents. Information overload creates cognitive burdens that impair good decision-making.

Second, develop the right appreciation of your business mission and goals. This is more than just about quarterly sales targets and profit margins. Making the numbers is important, but as Senthil Mullainathan's work on scarcity reveals, an excessive focus on numbers alone can create a tunnel mentality that tunes out risks and opportunities. Middle and junior managers must know why the firm does what it does, beyond getting customers to part with their money.

Third, do the right preparation: it is better to manage consequences than to predict outcomes of things beyond your control. Planning by prediction is a lot more common than people will admit. Resting your business strategy on predictions of a particular war ending by a particular date, or the price of a certain commodity remaining below a certain level is very dangerous when the norms of world politics and economic are changing. It is far better to create several scenarios at the intersection of important but uncertain trends, and prepare to deal with any of them.

Fourth, gain the right knowledge. A couple of hours of reading or watching basic macroeconomics—if not reading a good book—will clarify the differences and interconnections between fiscal policy, monetary policy, the economics of trade and the balance of payments. It doesn't take long to understand relationships between economic growth, inflation, interest rates and exchange rates. You could simply use this paragraph to ask Claude or Perplexity.

Fifth, get the right understanding of the tools governments use to intervene in the global economy: tariffs, sanctions, licences, quotas, capital controls, currency manipulation, bans and boycotts. It is necessary to know how these instruments work, who they target and who suffers their impact. Cut through the polemic and political rhetoric. Set aside

political loyalty and national pride for a moment. When in doubt, read an undergraduate textbook or beginner's guide.

Sixth, make a right assessment of your company's position with respect to the relevant governments. An object of economic statecraft, your company can simultaneously be an instrument of leverage, a target or even a hostage of different governments. A government that uses your firm to show strength is using you for leverage. When it gets you to change prices, stop services or invest capital, your firm is an instrument. When it hurts or bullies you, you are a target. And when you get caught in the crossfire between countries, you are a hostage. It is very important to know where you stand, so that you can act to protect your interests.

Seventh, have the right plans to manage stakeholders and risks. The word is abused, I know, but stakeholders are also the channels through which you will feel the pleasure and pain of public policy. Similarly, risks manifest themselves both directly and through suppliers, customers, bankers, employees and electorates. A common mistake is to ignore second-order effects in the interest of time. The more pathways and feedback loops you identify, the better you can be prepared for them.

And **finally**, practise the right kind of corporate diplomacy. If the 1990s taught business executives to be sensitive to the cultures of countries they operate in, today it is about representing, defending and negotiating on behalf of your company that is seen as being painted in the colours of your national flag. When it comes to the bolts and nuts, the task involves investing in relationships across the board, listening to people who might not be your well-wishers, being friendly without yielding ground and holding up reputation.

I know you didn't sign up for all this, but you must deal with the world as it is. This eightfold path does not guarantee success, but it should help you compose your own thoughts. Thank you.

10 YEARS AGO



JUST A THOUGHT

Corporate governance should be done more through principles than rules.

ADI GODREJ

MY VIEW | MODERN TIMES

Why government school reform is a big political idea

MANU JOSEPH



is a journalist, novelist and screenwriter. His latest book is 'Why the Poor Don't Kill Us.'

Indian politicians, outside Kerala perhaps, have never been terrified of the third-rate condition of government schools in their constituencies. Nor have they been terrified by the state of government hospitals, trains, or anything that voters use. They have also never been scared of being exposed as mysteriously wealthy. In fact, they flaunt their wealth openly as evidence of being street-smart and useful. They only fear being exposed as corrupt, though even that is not as worrisome perhaps as being the subject of a 'sex tape.' It is as though the people of India don't vote for anything that actually matters. But something new is going on that they may not realize can become a political tsunami.

The Cockroach Janta Party movement has been keeping itself alive by exposing the state of government schools across the nation. This has long been an unsexy issue not only for political parties, but also for the media. But there are reasons why the fight for the government school can become big politics. Especially now, as Indian society

appears to be tiring of old useless issues.

In most of India, a government school stands for all that is wrong with us. Some schools have no buildings, some have no teachers. Millions of children have passed through schools that may not have imparted any education at all. Primarily, a government school reveals corruption, incompetence, absence of work ethic and contempt. Also, where there is some intent, the school conveys India's pathological problem—it treats the poor as poor, and as a problem that must be solved in the cheapest way possible. A nation should instead treat all of its own as its middle-class, even if they are not. That is what Kerala's schools or hospitals are—government places for the middle-class.

All of a government's evil and failings are captured in a single building that is a far more emotional thing than people realize. A public school is not only a familiar sight to a majority of Indians, but something that concerns most of them. Their children may or may not attend one, but it is usually so bad that it burdens India's new lower middle-class with the big expense of making a valiant attempt to send their children to private schools. So, now that a smart organization has begun to stir the issue, the government school can become the improbable symbol

of rotten governance. And of a weird quality of Hindu nationalism—its stinginess. A visionary nationalist would have built thousands of world-class free schools, maybe with some chant in the morning and a low-protein vegetarian meal, but who would have cared if those schools were as lovely as temples and there really was education. But strangely, such nationalists have focused more on the frugal but useless tactic of rewriting history books.

The cockroaches have been trespassing into government schools and showing us images that shock us, even though we are Indians and we expect them to be bad. It is astonishing that they have been able to continue this despite the political muscle against them. It points to ground support for their cause, even if it isn't always evident.

Another reason why professional politicians have not been able to counter this is that there is no moral argument against the need to transform public schooling. It does not have the sort of ambiguity that a useless

cultural issue has. There can be arguments about higher education, but it is hard to argue for keeping a child away from school, even a government one. A school, despite its flaws, is a fiercely ethical idea. That a child should learn the basics of all that is known to man tortures not only children with learning disabilities but others too. But all things considered, there is so much wisdom in the idea of a school that it has prevailed across the world, largely in its formal form, even though every generation adds some false notion of 'fun' to schooling. So powerful is the idea that even Gandhi failed to pull off his ideas. He wanted Indian kids to learn 'handicraft' and stuff like that in the formative years, before they learnt how to read and write. Amartya Sen and Jean Drèze say in their book, *An Uncertain Glory: India and Its Contradictions*, that new India, influenced by Gandhi, "argued against regular schooling at the elementary level, favouring instead a so-called 'basic education' system, built on the hugely romantic and rather

eccentric idea that children should learn through self-financing handicraft."

Seasoned politicians responded to cockroaches at first through denial, then promises that they will transform schools. But they do not know how to say this well. They have been trained to articulate useless issues or make dull promises. Most seem clueless of what must be done.

You may argue that if the government school had the makings of a political issue, then why did the poor stay quiet for so many decades? But then, as this column has long held, the poor don't revolt the way most people imagine. A disenfranchised social elite has to organize them. Cockroaches represent that disenchanted elite, and they know exactly how to speak of the appalling Indian government school.

All kinds of upper classes are moved by the state of schools for the poor. Empathy is a form of narcissism, and a feudal reassurance that the subject of empathy is not a threat. So even rich parents feel the pain of seeing millions of children starting their lives in a dismal government school. This easy compassion is mixed with their rage at having to pay so many taxes. All for what? To feed some provincial politician who denies children their rightful schools?



| MY VIEW | STAT-CRAFT

MINT CURATOR

India's consumer market cannot be mapped by national averages

Businesses must understand how various households earn, spend and retain resources in sufficient depth to craft a strategy



RAJESH SHUKLA
is managing director and chief executive officer of People Research on India's Consumer Economy.

India's private consumption expanded by 7.1% in real terms in the first quarter of 2026-27. That is encouraging news for an economy whose prospects depend substantially on domestic demand. But a growth rate is not a market strategy. It tells businesses that expenditure is expanding, not which consumers sustain which markets, what they can afford or how much financial leeway remains after meeting their expenses.

The distinction matters because India has several overlapping economic maps. The distribution of income differs from the distribution of consumption, which differs still more from the distribution of saving. Businesses that mistake one for another risk misunderstanding both the scale and the character of their opportunity.

PRICE's estimates for 2025-26 illustrate this clearly. Dividing the population into ten equal groups ranked by per capita household income, the top 10% account for about 30.2% of income, 24.2% of consumption and 48% of saving. The bottom half account for 23.8% of income and 29.5% of consumption, but only about 6.7% of saving.

These estimates describe the structure of demand, not the contribution of each group to the latest quarter's growth. Nevertheless, their business implications are substantial. The market for goods and services is considerably less concentrated than the pool of saving. A strategy suited to attracting a financial surplus cannot simply be transferred to selling everyday consumer products.

The population between the bottom half and the top decile deserves particular attention. These four deciles account for roughly 46.2% of consumption, nearly twice the share of the top decile. They are not a uniform 'middle class.' Their incomes, expenditure commitments and financial flexibility differ. But collectively, they demonstrate why a consumption strategy focused overwhelmingly on affluent consumers would overlook a substantial consumer market.

The differences become sharper when we examine expenditure per person rather than per household. Monthly per capita consumption rises from ₹5,348 in the bottom decile to ₹34,072 in the top, a multiple of about 6.4. Household comparisons show a smaller gap partly because lower-income households are larger: average household size falls from almost six members in the bottom decile to about 3.4 in the top.

For businesses, the appropriate denominator depends on the product. Food consumption is closely connected to the number of people. A refrigerator is generally shared within a household. Housing requirements depend on both household composition and location. Counting households, consumers and purchasing units as though they were interchangeable can distort



market assessments. Nor does expenditure rise uniformly across categories. Monthly cereal spending increases from ₹390 per person in the bottom decile to ₹869 in the top, a little over twice as much. Education expenditure rises from ₹108 to ₹2,227, more than 20 times. Healthcare spending increases from ₹196 to ₹2,986, while expenditure on consumer durables rises from ₹112 to ₹1,571.

These are expenditure differences, not estimates of how spending responds when an individual's income rises. They reflect prices, quality, household composition, access and preferences as well as purchasing power. Even with that qualification, they show why applying a common consumption-growth assumption across categories makes little commercial sense.

For staple products, affordability, availability and distribution efficiency remain central. In categories with steeper expenditure differences, businesses need to understand whether customers are purchasing greater quantities, better quality, convenience or access to services. The opportunity may lie in a premium offering, but it may equally lie in making an adequate product affordable to a wider population.

There is a key policy distinction here. Higher non-food spending should not be described as discretionary consumption. Healthcare, education, transport and housing contain substantial essential expenditure. Low spending on these services can reflect public provision, but it can also reflect unmet need. High spending may indicate choice and quality, or the cost of securing services that households cannot readily obtain elsewhere.

Financial flexibility further separates consumers who may otherwise appear to share similar aspirations. In the bottom decile, average spending exceeds average income by about 10%. In the second decile, consumption absorbs about 99% of income. In the top decile, the corresponding proportion is approximately 60%.

These are group averages, not descriptions of every household. But they underline a basic distinction between willingness to buy and the ability to sustain expenditure. Borrowing or drawing down savings can help households bridge shortfalls. Neither should be confused with a durable increase in purchasing power.

The practical response is not to abandon national growth indicators. It is to supplement them with category-specific maps of expenditure, household composition and financial capacity. Businesses should distinguish the customers who provide scale from those who provide higher spending per purchase, and both from those with substantial investible surplus.

For policymakers, the same evidence directs attention towards reliable earnings and affordable essential services. Improving these foundations can strengthen households' capacity to participate in markets without requiring them to stretch already constrained budgets.

India's consumption opportunity is real. But it is neither evenly distributed nor confined to its richest citizens. The national average provides a headline. Understanding how different households earn, spend and retain resources provides the strategy.

No AI in schools: conservatives should get on board with this

Screen bans in Democrat states should be adopted in others as well



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I used to be conservatives who wanted to tread carefully with new things. These days, it's progressives sounding the alarm on AI. And I'm not just talking about the risk of human extinction.

Two of the country's largest school systems have dramatically restricted AI access for students this year. They also happen to be bastions of coastal progressivism. Conservative parents, take note.

For the 2026-2027 school year, New York City's education department passed sweeping rules forbidding students from using AI until high school. Learning apps with AI features will be removed from student devices. Companion chatbots will be banned in all grades.

That's not all. Screens of any type will be banned in New York City public schools until third grade. Goodbye to school-issued tablets starting pre-kindergarten, a practice that has become widespread in the last five years. Hello to limits on screen time, including a 45-minute cap for middle schoolers.

The West Coast has taken it a step further. The Los Angeles public school system passed a district-wide moratorium on AI for all grade levels that applies to all school-issued devices.

This is exactly the kind of 'common sense' reform that Republicans could use to define themselves heading into the mid-term election. Since covid, Republicans have enjoyed an upper hand on education issues. There were the demonstrably harmful and lingering effects of extended school closures, promulgated largely by progressive districts. There were Biden's efforts to block charter schools, despite their proven success at boosting student achievement. And there were culture-war arguments that made Democrats appear more concerned about pronouns than whether kids could read.

But for all the emphasis Republicans have put on protecting children, students in Zohran Mamdani's New York are going to be less screen-soaked than those in Greg Abbott's Texas—where, per my sons' experience in the public schools, there's many a screen-based recess.

The Dallas Independent School District—one of the largest in Texas—has AI guidance for families that reads: "See how AI is enhancing your child's learning," and "Sit with your child while they use AI. Treat it like reading a book together."

Keeping AI out of public schools is not going to do anything to slow development of the technology. Nor does it have anything to do with what happens at home; data from Common Sense Media suggest



Conservatives ought to get behind the idea of old-fashioned schooling. ISTOCKPHOTO

that AI use among teens is already ubiquitous. That's a problem for another day.

What progressives in New York and LA are saying is that when it comes to educating our nation's children and teaching them how to think, we are going to do it the old-fashioned way. That's a message more conservative districts ought to get behind.

Because the recent experiments we have been running in public education are not working. The newly released Program for International Assessment found that 15-year-old US students' reading scores have fallen near their lowest level in 25 years, with a 14-point drop in the last three years alone—as is the case across much of the developed world. The report also says that half of students use AI for education.

Our domestic tests, such as the Nation's Report Card, show similar lost ground. Less than half of American students are reading or doing math at grade level.

To be sure, AI and screens are only two of many factors that may have pushed down student scores over the last decade. Others include absenteeism, which rose during covid and has persisted; scrapping traditional teaching approaches such as phonics and multiplication tables; and lots of testing with little accountability for underperforming schools, teachers and students. That's a wide-ranging group of possibilities.

So perhaps AI presents a convenient scapegoat for challenges that are much more difficult for schools to solve. Nevertheless, we should solve what we can. The last thing American students need amid already-sagging scores and declining skills is AI slop in the classroom.

Americans' satisfaction with the quality of school education has fallen to 32%, a new low in Gallup's 27-year survey. It is down 11 percentage points over the past two years. Democrats, Republicans and independents are almost equally disappointed.

Revealingly, schools received the highest marks on preparing students to adapt to new technologies. In contrast, only 4% of Americans believe that schools are preparing students to critically think and solve problems. This is backwards.

A whole generation is not learning at school like they need to. Conservatives of all people should know it—and demand their school districts follow the examples of New York and Los Angeles. ©BLOOMBERG

| MY VIEW | GENERAL DISEQUILIBRIUM

Cities should wake up before public patience runs out

RAJRISHI SINGHAL



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Flooded streets in Gurugram's tony neighbourhoods incited the ire of many billionaires and startup founders. A wobbly building in Delhi, doubling up as a hostel, collapsed and killed outstation students. Mumbai's municipal corporation wants to annex a football ground and convert it into a convention centre; in fact, Brihanmumbai Municipal Corporation (BMC) just passed multiple resolutions to hand over various properties across the metropolis to private builders. Kolkata residents are taking aim at the state's newly elected government for inundated and pot-holed streets. Bengaluru's civic body has not seen elections for over six years. The third tier of governance, specifically urban civic management, is clearly in shambles. Authorities should take note: in this season of protests and demonstrations, public patience with shoddy delivery standards is wearing thin.

A citizen's relationship with urban local bodies should ideally be the tightest, rather than with the state or central government,

given the daily brush with a city's deliverable services. Sadly, it's a broken relationship.

BMC's annual budget, the country's richest municipal corporation, holds lessons. The corporation's 2026-27 budget at over ₹80,952 crore is higher than that of many states. Compared with 2019-20, BMC's annual outlay has grown by close to 170% over seven years. Calculating simple average growth suggests the outlay has grown over 24% every year. Yet, this financial growth seems far removed from the lived experience and quality of life in Mumbai.

One reason for scepticism is the large outlay set aside for capital expenditure. Past data shows that the corporation's actual capital expenditure—for building roads or augmenting storm water drains—consistently undershoots budget estimates at year-end. BMC aims high but unvaryingly under-delivers. The roads and traffic division, for example, gets a large chunk of the budget but its performance unfailingly arouses extreme negative reactions every year.

Even more curious is BMC hiring contractual labour in some key departments, such as public health and hospitals. Or, when it cedes space to the private sector for delivery of critical urban services. For example, BMC runs Mumbai's bus service,

one of India's oldest, which used to be an indispensable and reliable mode of public transport for millions, especially for school-children and the elderly. However, this bus service has been shrunk over the past few years, letting private operators step into the vacuum with a pricing model that serves only the city's elite.

According to an analysis by Praja, a non-government organization focused on urban governance, BMC had 88,864 employees in 2024 against a sanctioned staff strength of 151,255, implying an average vacancy of 41%. This ties in with the BMC's continuing emphasis on fiscal prudence, especially by trying to rein in revenue expenditure (salaries, administration costs). This may have been praise-worthy in any other commercial organization, but in BMC it raises questions: can a municipal corporation, already facing complaints about inadequate service delivery, sacrifice improvement in favour of budgetary prudence? Simultaneously, there may be some merit in

conducting a labour audit to figure out the municipal corporation's appropriate manpower requirements.

But while the BMC, to be fair, provides some unique services, such as running medical colleges, its shortcomings echo those found in most other cities. While politicians

go around promising to convert Indian cities into London, Shanghai or Singapore, nobody is asking why authorities there do not want their cities to become Mumbai, Bengaluru or Kolkata.

In this morass of widening service deficiencies and callous civic officials, or indifferent bureaucrats and politicians, the sincere and diligent officer is often viewed as a superhero, a character from the Marvel

universe. The citizenry's expectations from the political class and bureaucracy are so low that any officer performing his duties acquires a halo. Maharashtra's commissioner for food and drug administration, Tukaram Mundhe, has become a cult hero for just doing his job, for going by the book.

Urban India's frustrations can be gauged from the adulation reserved for diligent public officials

Mundhe's zeal in prosecuting restaurants, cloud kitchens, food storage units, e-commerce and quick commerce outlets for dismal hygiene standards and the sale of sub-standard food items has found easy resonance with the public. Mundhe may have lacked a Superman cape, but the fervour with which he pursued his remit—as laid down in the Food Safety and Standards Act—has gained him instant popularity.

Mundhe has not had it easy. As a bureaucrat from the Indian Administrative Services, this is his 25th posting in a 21-year career. The last posting lasted only two months. And he is not the first. His predecessor in the department, Arun Bhatia, also took on large pharmaceutical corporations in 1993 and was transferred 21 times in his 23-year career. G.K. Khairnar, BMC's deputy commissioner, led a drive against unauthorized constructions in the city that left many influential people red-faced.

But these were isolated campaigns spearheaded by principled public officials. It is but one step from here to an organized expression of public outrage, like at Jantar Mantar earlier this year, when anger and frustrations boil over the tolerance limits of people. Politicians need to draw multiple lessons from the student protests in Delhi.



Middle managers under fire

Companies are eliminating middle management to boost efficiency, but this will spark a huge leadership shortage

Callum Borchers

We'll miss them when they're gone. Middle managers are on the chopping block at Uber, Intel, Coinbase and other companies. Top executives seem to view them as unnecessary speed bumps on the highway to innovation, and rank-and-file workers love to gripe about layers of bosses who do, what, exactly?

It's hard to think of another role that gets so little love from both ends of the org chart.

Just give it a few years. We're underestimating the often-invisible work of people who enable higher-ranking leaders to delegate and get the most out of front-line employees.

So, I'm calling it now: When we realize what's been lost, middle manager will be the hottest job out there. And filling the void won't be easy.

The Georgetown University Center on Education and the Workforce projects U.S. businesses will face a shortage of 2.9 million managers in 2032. This is by far the biggest anticipated shortage among major job categories. Nurses and teachers are second and third with projected shortages of 611,000 and 362,000.

"Management is sort of a unique category in that there isn't a single pipeline that gets you there," says Madeleine Adelson, a policy analyst at the Georgetown center and co-author of its report on skills shortages. "That can work both for and against it."

WHO WANTS TO BE THE BOSS?

Good managers can come from a range of educational and professional backgrounds, which creates a large pool of potential candidates. But to be a boss, you



ISTOCKPHOTO

WHAT HAPPENS AFTER THE VOID

- Senior executives inherit more day-to-day decisions.
- Employees lose a key layer of support and coordination.
- Team-level execution can become harder.
- Personnel conflicts and morale issues may rise up the org chart.
- Companies may eventually struggle to rebuild the management layer they eliminated.

when the company said in May that it would lay off 14% of its workforce and eliminate "pure managers."

But what makes sense on paper can also overlook the effect on morale and, eventually, productivity.

Middle managers often act as informal therapists for their direct reports. The good ones are attuned to what motivates people on their teams and who works well with whom. They also serve as executive whisperers, translating the goals and strategies from bosses on high, while also acting as buffers for those higher up the ladder, sparing executives the headaches of petty issues.

Leaders who expect AI to free them to concentrate on major initiatives will ultimately inherit the personnel dramas and small decisions that deputies used to take off their plates. They may also find their grand plans don't get executed when there are no rallying forces at the team level.

Get ready for the in-demand middle managers' comeback tour in a few years' time. The only question is, when companies realize they cut too deeply, will there be enough bosses willing and able to step up?

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first have to want to be a boss. We're in a job market where even graduates of top M.B.A. programs—traditionally America's boss factories—are struggling to get hired.

Plus, taking on managerial duties too often amounts to a "dry" promotion that brings no additional pay and less security. Raising your hand for middle management right now feels like volunteering to be laid off the next time your employer decides to become more "nimble."

"I figured this could come one day," says Alex Butterworth, who was a senior legal counsel at Uber until he was laid off this month as part of the company's reduction of small-team managers. "I was like, 'At some point, there's going to be layoffs and I might get caught.'"

He didn't mind the risk because he has ample savings, no dependents and a second income stream as a restaurant investor. Now that the ax has fallen, though, Butterworth isn't sure he has the stomach for another stint in corporate America's vulnerable middle. His job search will target general counsel positions at startups.

At the top, he figures, a solid performer's results are evident. In the middle, it can be hard to shake the Dwight Schrute-esque caricature of a manager who was shunted into some do-nothing role where he can't cause too much damage.

"You do have individual contributors who got promoted to manager and have no idea how to actually manage, and are

absolutely slowing things down and causing problems," Butterworth says. "But it's not easy to get rid of the right people, and when organizations don't have the time or the patience, they just take a sledgehammer to the organization and put the pieces back together later."

THE WALL STREET JOURNAL.

THE AI FACTOR

Much of the job panic around artificial intelligence is concentrated at the entry level, but AI threatens the middle ranks, too.

"The key thing is, what are the tasks that a manager does?" says economist David Deming, dean of Harvard College. "A manager doesn't produce any output, but they often coordinate the allocation of resources, and that coordination function can actually be done decently well

with some technological tools."

He cited chatbots like Claude Tag that can be embedded in the workplace messaging app Slack as an example. Some of the basic questions people have always asked their managers can now be answered by AI agents.

"It moves everything faster, just the general questions that you may have," says Suzana DelliSanti, Salesforce's executive vice president of global talent acquisition. "My Slackbot will be in Slack along with my employees."

Salesforce, as Slack's parent company, is an early adopter. But other businesses see an opportunity to accelerate work by using AI to do some of the orchestration typically performed by middle managers. This was the essence of the rationale laid out by Coinbase CEO Brian Armstrong



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